



MODULE 2: GUIDANCE FOR STANDARDS I TO VII



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OVERVIEW

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Standard I: I. PROFESSIONALISM

Standards I(A): Knowledge of the law

Standard I(A)

Members and candidates:

- Must understand and comply **with all applicable laws, rules, or regulation** *(including the CFA Institute Code of Ethics and Standards of Professional Conduct)* of any government, regulatory organization, licensing agency, or professional association governing their professional activities.
- In the event of conflict, must comply with the **more strict** law, rule, or regulation or the Code and standards.
- Must **not knowingly participate or assist** in and **dissociate** from any violation.

1

General guidance

01

Understand the **applicable laws and regulations** that directly govern their professional activities and protect the interests of the clients .

02

In the event of conflict, must comply with the **more strict** law, rule, or regulation or the Code and standards.

03

Must **not knowingly participate or assist** in and dissociate from any violation.

**Applicable law: the law that governs the M&C's conduct.*



Standard I: I. PROFESSIONALISM

Standards I(A): Knowledge of the law

2

Detailed guidance in several major circumstances

I(A).1. Relationship between the standards and applicable Law



I(A).2. Participation in or association with violations

I(A).3. Investment products and applicable laws

I(A).1. Relationship between the Code and Standards and Applicable Law

When applicable law and the Code and Standards require different conduct, M&Cs **must follow the stricter** of the applicable law or the Code and Standards.

I(A).2. Participation in or Association with Violations by Others

a. M&Cs are **directly involved** in or associated with violations
→ They violate CFA standards.

“Member and candidate” is now abbreviated as “M&C”.



Standard I: I. PROFESSIONALISM

Standards I(A): Knowledge of the law

2

Detailed guidance in several major circumstances

I(A).2. Participation in or Association with Violations by Others

b. M&Cs are **not directly involved but aware of** violations conducted by employers or clients:

- ✓ Dissociate from the activity
- ✗ Do not take action.
- ✗ Their action failed to prevent the violation, but they do not step away from it.

Note that: Though CFA Institute encourages reporting violation, a failure to report does not constitute a standard violation.

I(A).3. Investment products and applicable laws

M&Cs who are involved in creating or maintaining investment service or investment products **across nations**:

- ✓ Understand the **applicable laws and regulations of the countries** or regions of origination and expected sale.
- ✓ Make reasonable efforts to **review whether associated firms** that are distributing products or services developed by their employing firms also **abide by the laws and regulations** of the countries and regions of distribution.
- ✓ Undertake the necessary due diligence when **transacting cross border business** to understand the multiple applicable laws and regulations .



Standard I: I. PROFESSIONALISM

Standards I(A): Knowledge of the law

3

Recommended procedures for compliance

- Establish, or encourage employer to establish, procedures to keep employees informed of changes in relevant laws, rules, and regulations.
- Review, or encourage employer to review, the firm's written compliance procedures on a regular basis.
- Maintain, or encourage employer to maintain, copies of current laws, rules, and regulations.
- When in doubt about legality, consult supervisor, compliance personnel, or a lawyer.
- When dissociating from violations, keep records documenting the violations, encourage employer to bring an end to the violations.
- There is no requirement in the Standards to report wrongdoers, but local law may require it; members are "strongly encouraged" to report violations to CFA Institute Professional Conduct Program



Standard I: I. PROFESSIONALISM

Standards I(A): Knowledge of the law

4

Practice example



Practice Example 1: Relationship between the Code and Standards and Applicable Law

Janet Green, CFA, provides investment advice and other services to clients in several countries. She resides in Country A whose securities laws and regulations are less strict than the Code and Standards. She also conducts business with clients in Country B, which has no securities laws or regulations, and in Country C, which has securities laws and regulations that are stricter than the Code and Standards. Which of the following statements is CORRECT? According to CFA Institute Standards of Professional Conduct, Green must adhere to the Code and Standards in:

- A. Country A but the law in Country B and Country C.
- B. Country A, Country B, and Country C.
- C. Country A and Country B but the law in Country C.



Standard I: I. PROFESSIONALISM

Standards I(A): Knowledge of the law

4

Practice example

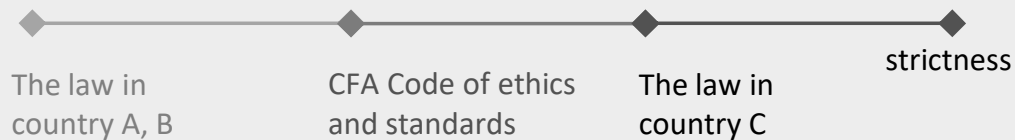


Practice Example 1: Relationship between the Code and Standards and Applicable Law



The guidance says: In the event of conflict, M&C must comply with the more strict law, rule, or regulation or the Code and standards.

And from the example:



- When working in Country A, Country B, the analyst should adhere to Code of Ethics
- When working in country C, the analyst should adhere Country C's law.



Standard I: I. PROFESSIONALISM

Standards I (B): Independence and Objectivity

Standard I(B)

Members and candidates:

- Must use **reasonable care and judgment** to achieve and maintain independence and objectivity in professional activities.
- Must not **offer, solicit, or accept** any gift, benefit, compensation, or consideration that reasonably could be expected to compromise their own or another's independence and objectivity.

1

General guidance

Key principle: Members and candidates should attempt to avoid situations that could cause or be perceived to cause a loss of independence or objectivity in recommending investments or taking investment action.

The most common situations that could cause a loss of independence includes:



Benefits from clients and other parties

01

Benefit from clients

"Gifts" that results from the service in the past: should disclose to employers, but disclosure can take place after receiving.

"Compensation" that can alter how M&C execute their role in the future: must disclose to employers and receive approval in order to receive.



Standard I: I. PROFESSIONALISM

Standards I (B): Independence and Objectivity

1

General guidance



Benefits from clients and other parties

01

Benefit from other entities

Should be more cautious because benefit from other entities could harm the best interest of M&C's clients

For example, a brokerage company uses benefits to persuade an asset manager to direct all his client accounts' trades to them.

Preparing research reports, making recommendations, take investment actions

02

M&C must make sure that:

- True opinions are reflected
- Free of bias from internal or external pressures
- Language is clear and unambiguous



Seeking financial support from others for events

03

M&C should evaluate both the actual effect of such solicitations on their independence and whether their objectivity might be perceived to be compromised in the eyes of their clients



Standard I: I. PROFESSIONALISM

Standards I (B): Independence and Objectivity

2

Detailed guidance in several major circumstances

I(B).1. Buy-Side Firms



I(B).2. Fund Manager and
Custodial Relationships



I(B).3. Investment Banking
Relationships



I(B).4. Performance
Measurement and Attribution



I(B).5. Public Companies



I(B).6. Credit Rating Agency
Opinions



I(B).7. Influence during the
Manager Selection Process



I(B).8. Issuer-Paid Research



I(B).9. Travel Funding





Standard I: I. PROFESSIONALISM

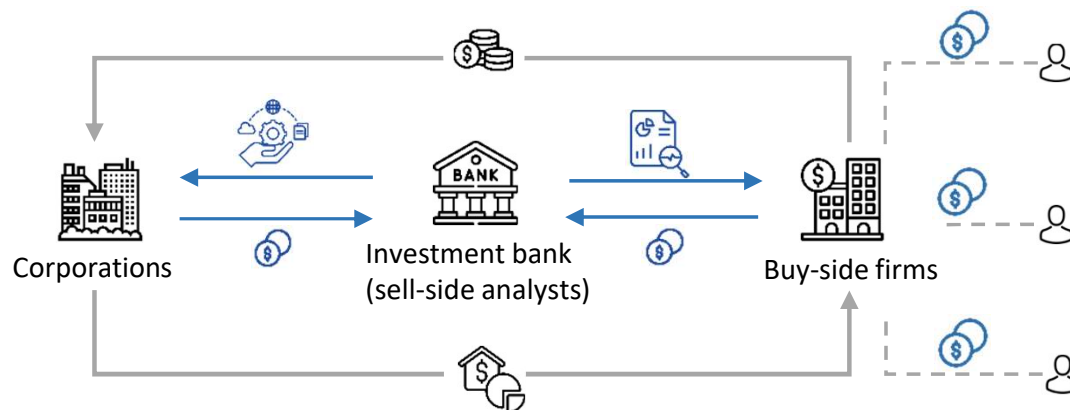
Standards I (B): Independence and Objectivity

2

Detailed guidance in several major circumstances

I(B).1. Buy-Side Firms

The relationship between sell-side analysts and buy-side firms



Sell-side analysts are those who issue the often-heard recommendations of "strong buy," "outperform," "neutral," or "sell."

Buy-side firms consist of asset managers, hedge funds, and other firms that buy or sell securities on behalf of their clients.

A downgrade may adversely affect the portfolio performance and the asset manager (in buy-side firms) → Some portfolio managers may implicitly or explicitly support sell-side ratings inflation.



Standard I: I. PROFESSIONALISM

Standards I (B): Independence and Objectivity

2

Detailed guidance in several major circumstances

I(B).1. Buy-Side Firms

A downgrade may adversely affect the portfolio performance and the asset manager (in buy-side firms) → Some portfolio managers may implicitly or explicitly support sell-side ratings inflation.

For sell side analysts

M&C need to **overcome pressures** that negatively affect their independence and objectivity when preparing research

For buy-side firms

Portfolio managers have a responsibility to **respect and foster the intellectual honesty** of sell-side research.

I(B).2. Fund Manager and Custodial Relationships

Members and candidates who are responsible for hiring and retaining outside managers and third-party custodians should not accept gifts, entertainment, or travel funding that may be perceived as impairing their decisions.



Standard I: I. PROFESSIONALISM

Standards I (B): Independence and Objectivity

2

Detailed guidance in several major circumstances

I(B).3. Investment Banking Relationships

- ✓ Members and candidates must **not succumb to pressures** from firms to write favorable research reports on investment banking clients.
- ✓ Firms should **require public disclosure** of actual conflicts of interest to investors from analyst and ensure that analysts are allowed to work with investment bankers only when the conflicts are adequately and effectively disclosed and managed.



*A holds
ABC's
stocks*



Analyst A



*A is required to
write a report on
ABC*

**Analyst A must disclose the
stock ownership in the report**

- ✓ **"Firewalls"** between the investment banking and research functions should be managed to minimize conflicts of interest.



Standard I: I. PROFESSIONALISM

Standards I (B): Independence and Objectivity

2

Detailed guidance in several major circumstances

I(B).4. Performance Measurement and Attribution

- ✗ Allow **internal or external influences** to affect their independence and objectivity as they faithfully complete their performance calculation and analysis-related responsibilities.

For example: When preparing performance report, analyst may receive requests from the manager to alter the construction of composite indexes in order to hide the fact that they have strayed from their mandate.

I(B).5. Public Companies



Public firms

Information



Analysts

Evaluation



Report and valuation

Public firms may pressure analysts to issue favorable reports



A factual manner is required for analysts despite facing potential obstacles from companies



Standard I: I. PROFESSIONALISM

Standards I (B): Independence and Objectivity

2

Detailed guidance in several major circumstances

I(B).6. Credit Rating Agency Opinions



Analysts may face challenges related to incentives and compensation tied to credit rating

For M&C employed at credit rating agencies

- ✓ Ensure that procedures and processes at the agencies prevent undue influences from a sponsoring company.
- ✓ Abide by their agencies' and the industry's standards of conduct.

For M&C using information from credit rating agencies

- ✓ Independently validate the rating granted.



Standard I: I. PROFESSIONALISM

Standards I (B): Independence and Objectivity

2

Detailed guidance in several major circumstances

I(B).7. Influence during the Manager Selection Process

When serving in a hiring capacity

- ✗ Solicit gifts, contributions, or other compensation that may affect their independence and objectivity.

When working to earn a new investment allocation

- ✗ Offer gifts, contributions, or other compensation to influence the decision of the hiring representative.

Note: Solicitations do not have to benefit members and candidates personally to conflict with Standard I(B). Requesting contributions to a favorite charity or political organization may also be perceived as an attempt to influence the decision-making process.

I(B).8. Issuer-Paid Research

Context: Some companies may hire analysts to produce research reports on themselves.

- ✓ Engage in thorough, independent, and unbiased analysis and must fully disclose potential conflicts.
- ✓ Try to limit the type of compensation they accept for conducting research, in best practice, only accept a flat fee (fixed fee).



Standard I: I. PROFESSIONALISM

Standards I (B): Independence and Objectivity

2

Detailed guidance in several major circumstances

I(B).9. Travel Funding

Context: when working with clients or business partners, analysts may receive additional travel funding beyond that of their firms.

In case of availability

- ✓ Use commercial transportation at their expense or at the expense of their firm

In case of unavailability

- ✓ Accept **modestly arranged** travel to participate in appropriate information gathering events.

3

Recommended procedures for compliance

- Protect the integrity of opinions
- Create a restricted list of controversial company
- Restrict special cost arrangements
- Limit gifts
- Restrict employees' investments
- Review procedures
- Independence policy
- Appointed officer with oversight responsibilities for compliance with standards and regulations.



Standard I: I. PROFESSIONALISM

Standards I (B): Independence and Objectivity

4

Practice example



Practice Example 2: Travel funding

An analyst has been writing research reports on a company for many years. As part of the analyst's continuing research efforts, the analyst allows the firm to fly him to the firm's headquarters and put him up in the guest quarters the company has for all corporate visitors. According to Standard I(B), Impendence and Objectivity, this is:

- A. a violation if the headquarters are within reasonable driving distance from the analyst's home.
- B. a violation no matter what the circumstances.
- C. not a violation under any circumstances.



Standard I: I. PROFESSIONALISM

Standards I (B): Independence and Objectivity

4

Practice example



Practice Example 2: Travel funding



The guidance says:

- Analysts should use commercial transportation at their expense or at the expense of their firm rather than accept paid travel arrangements from an outside company.
- In case of unavailability, they may accept modestly arranged travel to participate in appropriate information gathering events.

If the headquarters are within reasonable driving distance from the analyst's home, this is not a case of unavailability
→ A violation if the analyst accepts travel funding
→ A is correct.



Standard I: I. PROFESSIONALISM

Standards I (C): Misrepresentation

Standard I(C)

Members and candidates:

- Must **not knowingly make any misrepresentations** relating to investment analysis, recommendations, actions, or other professional activities.
- A misrepresentation is any untrue statement or omission of a fact or any statement that is otherwise false or misleading.

1

General guidance

01

Must not **knowingly** omit or misrepresent information or give a false impression of a firm, organization, or security in oral representations, advertising, electronic communications, or written materials.

02

Regularly monitor materials posted on webpages to ensure that they contain current information.

03

Must not guarantee clients any specific return on volatile investments.
For example: "I can guarantee that you will earn 8% on equities this year".



Standard I: I. PROFESSIONALISM

Standards I (C): Misrepresentation

2

Detailed guidance in several major circumstances

I(C).1. Impact on Investment Practice**I(C).3.** Social media**I(C).5.** Plagiarism**I(C).2.** Performance Reporting**I(C).4.** Omissions**I(C).6.** Work Completed for Employer



Standard I: I. PROFESSIONALISM

Standards I (C): Misrepresentation

2

Detailed guidance in several major circumstances

I(C).1. Impact on Investment Practice

- ✗ Misrepresent any aspect of their practice such as qualification, credentials or performance record.
- ✓ Disclose their intended use of external managers and must not represent those managers' investment practices as their own.
- ✓ Exercise care and diligence when incorporating third-party information.

I(C).2. Performance Reporting

- ✗ Misrepresent the success of their performance record by presenting benchmarks that are not comparable to their strategies.
For example: Comparing hedge fund returns which might include a lot of illiquid assets to stock market return to attract investors
- ✓ Discuss with clients **on a continuous basis** the appropriate benchmark used for performance evaluation.
- ✓ Take reasonable steps to provide accurate and reliable security pricing information to clients on a consistent basis.



Standard I: I. PROFESSIONALISM

Standards I (C): Misrepresentation

2

Detailed guidance in several major circumstances

I(C).3. Social media

- ✓ Provide only the same information as other traditional forms of communication.
- ✓ Ensure that all communications in this format adhere to the requirements of the Code and Standards.
- ✗ Make use of the anonymity on the social media and knowingly misrepresent investment recommendations or professional activities

I(C).4. Omissions

- ✗ Knowingly omit inputs used in any models and processes
- ✗ Present outcomes from models as facts
- ✓ Encourage their firms to develop strict policies for composite development to prevent cherry picking (*selected accounts are presented as representative of the firm's abilities*).



Standard I: I. PROFESSIONALISM

Standards I (C): Misrepresentation

2

Detailed guidance in several major circumstances

I(C).5. Plagiarism

Definition of plagiarism: The practice of copying, or using in substantially the same form, materials prepared by others without acknowledging the source of the material or identifying the author and publisher of the material. This includes:

- ✗ Take a research report or study performed by another firm or person, changing the names, and releasing the material as one's own original analysis.
- ✗ Use excerpts from articles or reports prepared by others either verbatim or with only slight changes in wording without acknowledgment.
- ✗ Cite specific quotations supposedly attributable to "leading analysts" and "investment experts" without specific reference.
- ✗ Present statistical estimates of forecasts prepared by others with the source identified but without qualifying statements or caveats that may have been used.
- ✗ Use charts and graphs without stating their sources.
- ✗ Copy proprietary computerized spreadsheets or algorithms without seeking the cooperation or authorization of their creators.

- ✓ In the case of distributing third-party, outsourced research, M&C can use and distribute these reports as long as they do not represent themselves as the author of the report.

Note: Factual information published by recognized financial and statistical reporting services or similar sources *may be used without an acknowledgment*.



Standard I: I. PROFESSIONALISM

Standards I (C): Misrepresentation

2

Detailed guidance in several major circumstances

I(C).6. Work completed for Employer

- Any research reports prepared by the analysts are the property of the firm and may be issued by it even if the original analysts are no longer with the firm.
- Members and candidates are allowed to use the research conducted by analysts who were previously employed at their firms. However, they cannot reissue a previously released report solely under their own name.

3

Recommended Procedures for Compliance

- Prepare a summary of experience, qualifications, and services a member is able to perform.
- Encourage employers to develop procedures for verifying marketing materials provided by third parties concerning their capabilities, products, and services.
- Cite the source of any summaries of materials provided by others.
- Keep copies of all reports, articles, or other materials used in the preparation of research reports.
- Provide a list, in writing, of the firm's available services and qualifications.
- Periodically review documents and communications of members for any misrepresentation of employee or firm qualifications and capabilities



Standard I: I. PROFESSIONALISM

Standards I (C): Misrepresentation

4

Detailed guidance in several major circumstances



Practice Example 3: Performance Reporting

Lee, CFA, is a financial planner for AKC. AKC compensates its planners based on the number of AKC products they sell. Lee advises a married couple to transfer their retirement funds totaling \$125,000 into a single AKC investment fund that follows a large-cap equity strategy. Lee discloses to the couple that they will have to pay a penalty totaling \$30,000 for closing their retirement accounts but claims they will make up the loss with better investment returns from the AKC product.

Lee's actions are:

- A. acceptable if the AKC product is suitable for the couple.
- B. a violation of the CFA Institute Code and Standards because she is promising a specific rate of return.
- C. acceptable because she fully discloses the negative consequences of closing their retirement accounts.



Standard I: I. PROFESSIONALISM

Standards I (C): Misrepresentation

4

Practice example



Practice Example 3: Performance Reporting



The guidance says:

M&C must not guarantee clients any specific return on volatile investments.

Even if the AKC product is suitable for the couple, it is an equity-based investment that is inherently volatile

Lee claims they will **make up the loss** of \$30,000 penalty fee with better investment returns from the AKC product.

Lee is implicitly promising a specific minimum return of \$30,000 in the future on an volatile investment.

→ She violates standard I(C)

→ B is correct



Standard I: I. PROFESSIONALISM

Standards I (D): Misconduct

Standard I(D)

Members and candidates:

- Must not engage in any professional conduct involving dishonesty, fraud, or deceit
- Must not commit any act that reflects adversely on their professional reputation, integrity, or competence.

1

General guidance

01

Any act that involves lying, cheating, stealing, or other dishonest conduct is a violation of this standard if the offense reflects adversely on a member's or candidate's professional activities.
For example: shoplifting



Conduct that damages trustworthiness or competence may include behavior that, although not illegal, nevertheless negatively affects a member's or candidate's ability to perform his or her responsibilities. *For example: drunk at work, ...*

02



Standard I: I. PROFESSIONALISM

Standards I (D): Misconduct

1

General guidance

03

The absence of appropriate conduct or the lack of sufficient effort may be a violation of Standard I(D).

04

Standard should not be used to settle personal, political, or other disputes **unrelated to professional ethics**.



Identify the activities that would violate Standard I(D) and arrange the boxes into their positions

Drinking after working hours

Excess drinking while working

Personal bankruptcy

Fighting with strangers on the street

Personal bankruptcy involving fraudulent business conduct

Join a protest unrelated to professional issues

Not understand nature of the risk before making investment advice

Fighting in workplace

Not conducting due diligence

Bring cheat sheet in the CFA examination room

Not a violation

Violation



Standard I: I. PROFESSIONALISM

Standards I (D): Misconduct

1

General guidance



Identify the activities that would violate Standard I(D) and arrange the boxes into their positions

Not a violation

Drinking after working hours

Personal bankruptcy

Fighting with strangers on the street

Join a protest unrelated to professional issues

Violation

Excess drinking while working

Fighting in workplace

Bring cheat sheet in the CFA examination room

Personal bankruptcy involving fraudulent business conduct

Not understand nature of the risk before making investment advice

Not conducting due diligence

2

Recommended procedures for compliance

- Develop and adopt a code of ethics and make clear that unethical behavior will not be tolerated.
- Give employees a list of potential violations and sanctions, including dismissal.
- Check references of potential employees.



Standard II: INTEGRITY OF FINANCIAL MARKET

Standards II (A): Material Nonpublic Information

Standard II(A)

Members and Candidates who possess material nonpublic information that **could affect the value of an investment** must not act or cause others to act on the information.

1

General guidance

01

Material and nonpublic information **are undisclosed information** that can **affect the price** of a security on disclosure.

02

Such information must **not be used for direct buying and selling** of individual securities or bonds, and other forms of investment.

03

Must not **influence investment actions of others** using material nonpublic information.



Standard II: INTEGRITY OF FINANCIAL MARKET

Standards II (A): Material Nonpublic Information

2

Detailed guidance in several major circumstances

II(A).1. Material nonpublic information



II(A).2. Mosaic Theory

II(A).3. Sources of information

II(A).1. Material nonpublic information

a. Material information: information is material if its disclosure would likely **have an impact on the price** of a security, or if reasonable investors would want to know the information before making an investment decision.

The specificity of the information

The difference from public information

The nature of information

The reliability of information



**How material
the
information is**



Standard II: INTEGRITY OF FINANCIAL MARKET

Standards II (A): Material Nonpublic Information

2

Detailed guidance in several major circumstances

II(A).1. Material nonpublic information

b. Nonpublic information: information remains “nonpublic” until it has been **disseminated** or is **available** to the **marketplace** in general.

- Selectively disclosed to a small group.
- Company provides analysts with guidance or interpretation of information
→ Possibility of receiving material nonpublic information.
- ✓ Use insider information provided **legitimately** by the source company for the purpose of **conducting due diligence**.
- ✗ The use of insider information for **other purposes**, especially trading or entice others to trade.

II(A).2. Mosaic Theory

Public
information



Nonmaterial
nonpublic
information



Investment
conclusions

- ✓ Under mosaic theory, analysts are **free to act** on this collection of information.
- ✓ Should **save and document** all their research.



Standard II: INTEGRITY OF FINANCIAL MARKET

Standards II (A): Material Nonpublic Information

2

Detailed guidance in several major circumstances

II(A).3. Sources of information

a. Social media

- ✓ Verify that information obtained from social media is publicly available from other sources.
- ✓ Communicate with clients or investors using social media platforms.
- ✓ Complete all appropriate regulatory filings related to information distributed through social media platforms.

b. Using industry experts and Investment research reports

- ✓ Provide compensation to individuals for their insights.
- ✗ Requesting or acting on confidential information from external experts.
- ✓ Well-known analyst's report may influence prices → May be considered material information but not insider information.



Standard II: INTEGRITY OF FINANCIAL MARKET

Standards II (A): Material Nonpublic Information

3

Recommended procedures for compliance

- Achieve public dissemination
- Adopt compliance procedures
- Adopt disclosure procedures
- Issue press releases
- Firewall elements: prevent communication of material nonpublic information within firms
- Appropriate interdepartmental communications
- Physical separation of departments
- Prevention of personnel overlap
- A reporting system
- Personal trading limitations
- Record maintenance
- Proprietary trading procedures
- Communication to all employees



Standard II: INTEGRITY OF FINANCIAL MARKET

Standards II (A): Material Nonpublic Information

4

Practice example



Practice Example 1: Nonpublic information

Nancy McCoy, CFA, is preparing a report on Gourmet Food Mart. As part of her research, she contacts the company's contractors, suppliers, and competitors. McCoy is told by the CEO of a major produce vendor that he is about to file a lawsuit against Gourmet Food Mart, seeking significant damages. McCoy incorporates this information into her research report, which projects a decline in profitability for Gourmet Food Mart due to the impending litigation. According to the CFA Institute Standards of Professional Conduct, McCoy:

- A. a violation of the Standard concerning use of material nonpublic information.
- B. a violation of the Standard concerning fiduciary duties.
- C. not in violation of the Code and Standards.



Standard II: INTEGRITY OF FINANCIAL MARKET

Standards II (A): Material Nonpublic Information

4

Practice example



Practice Example 1: Nonpublic information



Guidance II(A).1: Definition of Nonpublic Information

- Information is "nonpublic" until it has been disseminated or is available to the marketplace in general.
- Only the use of insider information for the purpose of conducting due diligence is allowed.



*CEO of the major
produce vendor*

"...I'm about to file a
lawsuit against GFM"



- Lawsuit has not yet been filed.
- Not yet a matter of public record.

- This piece of information **is material** to the company's future profitability.
- McCoy incorporating this information into the research report is a **violation of Standard II(A)**.

Answer: A



Standard II: INTEGRITY OF FINANCIAL MARKET

Standards II (B): Market Manipulation

Standard II(B)

Members and Candidates must not engage in practices that:

- distort prices
- artificially inflate trading volume with the intent to mislead market participants.

1

General guidance

01

Must uphold market integrity by prohibiting market manipulation.

02

Market manipulation includes practices that distort security prices or trading volume with the intent to deceive people or entities.



Standard II: INTEGRITY OF FINANCIAL MARKET

Standards II (B): Market Manipulation

2

Detailed guidance in several major circumstances

II(A).1. Information-based manipulation



II(A).2. Transaction-based manipulation

II(B).1. Information-based manipulation

Information-based manipulation includes:

- Dissemination of **false/misleading** information
 - Rumors
- Induce trading by others



Standard II: INTEGRITY OF FINANCIAL MARKET

Standards II (B): Market Manipulation

2

Detailed guidance in several major circumstances

II(B).2. Transaction-based manipulation

Information-based manipulation involves:

- ✗ Transactions that **artificially affect prices or volume** to give the impression of activity or price movement in a security.
- ✗ **Securing a controlling/dominant position** in a security to manipulate the price of derivatives and/or the underlying asset.

Note:

- ✓ Transactions undertaken on **legitimate trading strategies** based on perceived market inefficiencies.
- ✓ Transactions done for **tax purposes**

→ The **intent of action** is critical to determining whether it is a violation or not.



Standard II: INTEGRITY OF FINANCIAL MARKET

Standards II (B): Market Manipulation

4

Practice example



Practice Example 2: Market Manipulation

Mark Williamson is "bearish" on ABC Manufacturing Company. Williamson is so convinced that ABC is overpriced, two weeks ago, he shorted 100,000 shares. Today, Williamson is "surfing" several popular investment bulletin boards on the internet and posting false derogatory comments about company management. According to Standard II(B), Market Manipulation, Williamson has engaged in:

- A. Transaction-based manipulation, but not information-based manipulation.
- B. Information-based manipulation, but not transaction-based manipulation.
- C. Both transaction-based manipulation and information-based manipulation.



Standard II: INTEGRITY OF FINANCIAL MARKET

Standards II (B): Market Manipulation

4

Practice example



Practice Example 2: Market Manipulation



Guidance II(B).1: Information-based manipulation

Information-based manipulation includes, but is not limited to, spreading false rumors to induce trading by others.

Williamson is “bearish” and shorted 100,000 shares of ABC Manufacturing Company → He wants the stock price to decline.

Posting derogatory
comments on the Internet



Induce others to trade
negatively on **this information**

Williamson has engaged in Information-based manipulation because he spread false rumors about the firm in order to induce others to trade in his favor.

Answer: B



Standard III: DUTIES TO CLIENTS

Standards III (A): Loyalty, Prudence, and Care

Standard III(A)

Members and Candidates have a duty of loyalty to their clients and must act with **reasonable care** and exercise **prudent judgment**.

Members and Candidates must act for the **benefit of their clients** and place their **clients' interests** before their employer's or their own interests.

1

General guidance

01

Must have duty of loyalty to their clients and must act with reasonable care and exercise prudent judgment.

02

Must act for the benefit of their clients.

03

Must place the client's interests before their employer's or their own interests.



Standard III: DUTIES TO CLIENTS

Standards III (A): Loyalty, Prudence, and Care

2

Detailed guidance in several major circumstances

III(A).1. Application of Loyalty, Prudence, and Care



III(A).2. Identifying the Actual Investment Client

III(A).3. Developing Client's Portfolio

III(A).4. Soft Commission Policies

III(A).5. Proxy voting policies



Standard III: DUTIES TO CLIENTS

Standards III (A): Loyalty, Prudence, and Care

2

Detailed guidance in several major circumstances

III(A).1. Application of Loyalty, Prudence, and Care

(1)
Prudence

Act with the care, skill, and diligence

Following the investment parameters set forth by the client

Balancing risk and return

(2)
Fiduciary duty

An individual or institution is charged with the duty of **acting for the benefit of another party**, such as managing investment assets.

(3)
Other types of relationship

Fulfill the **obligations outlined explicitly or implicitly** in the client agreements to the **best of their abilities** and with loyalty, prudence, and care.

M&C's responsibility to clients

work in the client's best interest no matter what the job function is



Standard III: DUTIES TO CLIENTS

Standards III (A): Loyalty, Prudence, and Care

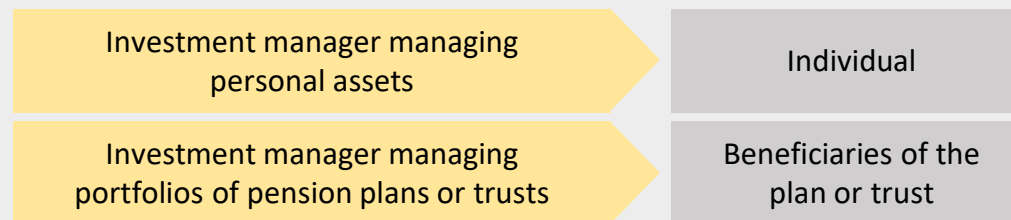
2

Detailed guidance in several major circumstances

III(A).2. Identifying the Actual Investment Client

Actual investment client is defined as the *ultimate* beneficiaries, the “client” may be the investing public as a whole rather than a specific entity or person.

For example:



III(A).3. Developing the Client's Portfolio

- ✓ Ensure that the client's objectives and expectations for the performance of the account are realistic and suitable to the client's circumstances and that the risks involved are appropriate.
- ✓ Disclose to clients when M&C cannot avoid potential conflicts.
- ✓ Must follow any guidelines set by their clients for the management of their assets.
- ✓ Investment decisions must be judged in the context of the total portfolio.



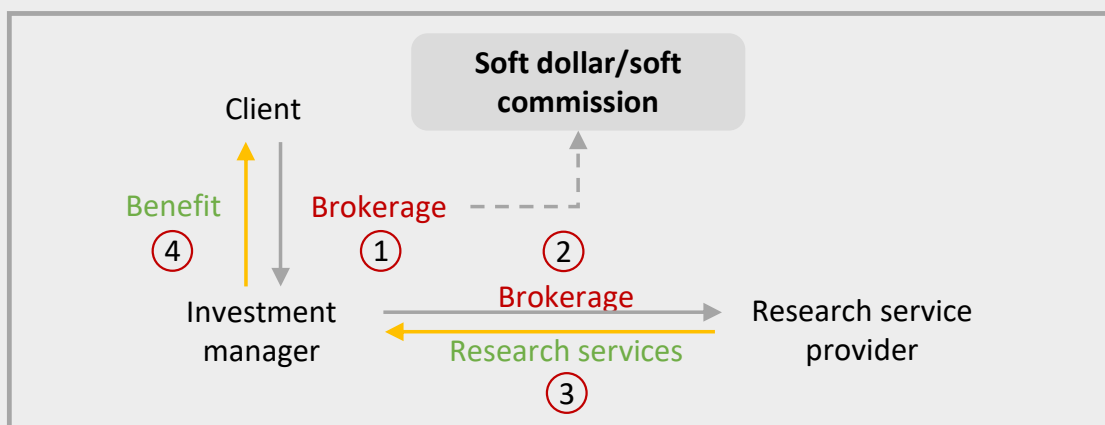
Standard III: DUTIES TO CLIENTS

Standards III (A): Loyalty, Prudence, and Care

2

Detailed guidance in several major circumstances

III(A).4. Soft dollar/soft commission



①

Client = Principal
Investment manager = Agency



Investment manager hold the fiduciary duty to use the brokerage to benefit clients.



The stage in which violations are likely to happen in stages ②③, if quality of the research services provided is not equivalent to the brokerage paid.



Directed brokerage: a practice when a client directs a manager to use the client's brokerage to purchase goods or services for the client.



M&C is obliged to seek **best price** and **best execution**, there should be a disclosure if directed brokerage does not bring about the best execution.



Standard III: DUTIES TO CLIENTS

Standards III (A): Loyalty, Prudence, and Care

2

Detailed guidance in several major circumstances

III(A).5. Proxy Voting Policies

- ✓ Vote proxies in an informed and responsible manner.
- ✓ Voting proxies may not be necessary in all instances.
- ✓ Should disclose to clients their proxy voting policies.
- ✗ Fail to vote.
- ✗ Cast a vote without considering the impact of the question.
- ✗ Vote **blindly** with management on non-routine governance issues.

Cost-benefit analysis: may show that voting all proxies may not benefit the client →
Voting proxies **may not be necessary** in all instances.



Standard III: DUTIES TO CLIENTS

Standards III (A): Loyalty, Prudence, and Care

3**Recommended procedures for compliance**

- Disclose account information regularly.
- If there is uncertainty about appropriate course of action with respect to client, M&C should disclose the matter to clients.
- Follow firm policies:
 - Follow all applicable rules and laws
 - Establish the investment objectives of the client
 - Consider all the information when taking actions
 - Diversify, regular reviews
 - Deal fairly with all clients with respect to investment actions
 - Disclose conflicts of interest
 - Disclose compensation arrangements
 - Vote proxies
 - Maintain confidentiality
 - Seek best execution
 - Place client interests first



Standard III: DUTIES TO CLIENTS

Standards III (A): Loyalty, Prudence, and Care

4

Practice example



Practice Example 1: Client commission practice

JNI, a successful investment counseling firm serves as investment manager for the pension plans of several large regionally based companies. JNI uses the brokerage and research services of many firms, but most of its trading activity is handled through a large brokerage company, Thompson, Inc., because the executives of the two firms have a close friendship. Thompson's commission structure is high in comparison with charges for similar brokerage services from other firms. JNI considers Thompson's research services and execution capabilities average.

Do JNI executives violate CFA Institute standards?



Standard III: DUTIES TO CLIENTS

Standards III (A): Loyalty, Prudence, and Care

4

Practice example



Practice Example 1: Client commission practice



Guidance III(A).4: Soft dollar/soft commission

If M&C pays higher brokerage commission than he or she would normally pay, without corresponding benefit to the client, M&C violates duty of loyalty to client.



Quality of research
services



Paid brokerage

JNI executives are using client brokerage for services that is of **average** capabilities, yet at **higher price than normal**.

Answer: JNI executives has violated the Standard III(A)



Standard III: DUTIES TO CLIENTS

Standards III (A): Loyalty, Prudence, and Care

4

Practice example



Practice Example 2: Managing family accounts

Adam Dill recently joined New Investments Asset Managers. To assist Dill in building a book of clients, both his father and brother opened new fee-paying accounts. Dill followed all the firm's procedures in noting his relationships with these clients and in developing their investment policy statements.

After several years, the number of Dill's clients has grown, but he still manages the original accounts of his family members. An IPO is coming to market that is a suitable investment for many of his clients, including his brother. Dill does not receive the amount of stock he requested, so to avoid any appearance of a conflict of interest, he does not allocate any shares to his brother's account.

Does Dill violate CFA Institute standards?



Standard III: DUTIES TO CLIENTS

Standards III (A): Loyalty, Prudence, and Care

4

Practice example



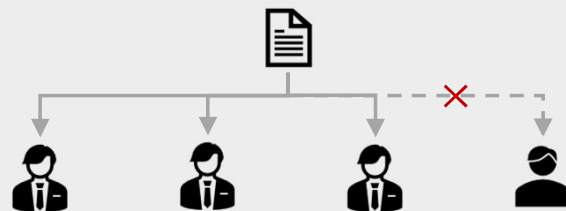
Practice Example 2: Managing family accounts



Guidance III(A).1: Application of Loyalty, Prudence, and Care

Members and Candidates have a duty of loyalty to their clients and must act with reasonable care and exercise prudent judgment. M&C must act for the **benefit of their clients**.

If the account is being managed along with the normal fee structure of the firm
→ M&C must act for the benefit of the client.



Disadvantaged client

Dill is not acting for the benefit of his brother's account as well as his other account as well as his other accounts by not allocating the shares proportionately across all accounts for which he thought the IPO was suitable.

Answer: Dill has violated the Standard III(A).



Standard III: DUTIES TO CLIENTS

Standards III (B): Fair Dealing

Standard III(B)

Members and Candidates must deal fairly and objectively with all clients when:

- Providing investment analysis
- Making investment recommendations
- Taking investment action
- Engaging in other professional activities.

1

General guidance

01

Treat all clients fairly when disseminating investment recommendations, making material investment changes, or taking investment actions.

02

Not to discriminate against any clients when disseminating investment recommendations or taking investment actions.

03

May provide more personal, specialized service to clients willing to pay for premium services through higher management fees or brokerage.



Standard III: DUTIES TO CLIENTS

Standards III (B): Fair Dealing

2

Detailed guidance in several major circumstances

III(B).1. "Fairly" versus "Equally"



III(B).2. Investment recommendations

III(B).3. Investment actions

III(B).4. Different levels of services

III(B).1. "Fairly" versus "Equally"

"Fairly"	"Equally"
Not discriminate against any clients when disseminating investment recommendations or taking investment action.	• Reach all clients at exactly the same time when disseminating investment recommendation. • "Equally" is not required under III(B)
<u>Example:</u> When M&C decides to release an investment decision, he reaches all his clients without excluding any client, or without taking away the chance to act from any of his clients.	<u>Example:</u> M&C are obliged to reach all of his clients via just one means of communication, at exactly the same time.



Standard III: DUTIES TO CLIENTS

Standards III (B): Fair Dealing

2

Detailed guidance in several major circumstances

III(B).2. Investment recommendations

Manner of disseminating investment recommendations

- ✓ **Ensure** that information is disseminated in such a manner that all clients have a **fair opportunity** to act on.
- ✓ **Communicate material changes** to all current clients, particularly who have acted on or been affected by the earlier advice.
- ✓ Clients place orders contrary to a current recommendation → **Advise** client on the change before accepting the order.

Example: Dan makes a recommendation of buying PNJ stocks to his clients. If he, after more in-depth researches, finds that PNJ is overvalued, he is obliged to communicate to all the clients who has bought PNJ's shares on his recommendation that he has changed his decision.



Standard III: DUTIES TO CLIENTS

Standards III (B): Fair Dealing

2

Detailed guidance in several major circumstances

III(B).3. Investment actions

- ✓ M&C must treat all clients fairly in light of their investment objectives and circumstances.

The case of new offering

If the offering is over-subscribed

Distribute issues on a pro-rata basis

Forgo any sales to themselves or their immediate families

Pro-rata basis: Shares are distributed to each client in proportion to some certain criteria, for example, the number of shares that the client registered for that offering.

Exception: If family-member accounts are managed similarly to other accounts → These accounts will not be excluded from buying.



Standard III: DUTIES TO CLIENTS

Standards III (B): Fair Dealing

2

Detailed guidance in several major circumstances

III(B).3. Investment actions

- ✓ Treat all individuals and institutional clients in a **fair and impartial** manner.
- ✓ Disclose to clients and prospective clients the documented **allocation procedures**.
- ✓ M&C's duty of fairness and loyalty to clients can **never be overridden** by client consent to patently unfair allocation procedures.
- ✓ Must not take advantage of their position in the industry to **the detriment of clients**.

III(B).4. Different levels of services

- ✓ M&C can provide **more specialized, in-depth services** to clients who are **willing to pay** for premium services, if M&Cs:
 - Disclose different service levels.
 - Do not disadvantage or negatively affect other clients.



Standard III: DUTIES TO CLIENTS

Standards III (B): Fair Dealing

3**Recommended procedures for compliance**

- Develop firm policies
 - Limit the number of people involved
 - Shorten the time frame between decision and dissemination
 - Publish guidelines for pre-dissemination behavior
 - Simultaneous dissemination
 - Maintain a list of clients and their holdings
 - Develop and document trade allocation procedures - ensure fairness to clients, timely and efficient order execution and accuracy of client positions
- Disclose trade allocation procedures
- Establish systematic account review
- Disclose levels of service



Standard III: DUTIES TO CLIENTS

Standards III (B): Fair Dealing

4

Practice example



Practice Example 1: Additional services for select clients

Jenpin Weng uses e-mail to issue a new recommendation to all his clients. He then calls his three largest institutional clients to discuss the recommendation in detail. Jenpin Weng most likely:

- A. Violates the CFA Institution standard by discriminating his clients
- B. Does not violate CFA Institution standards
- C. Should discuss the recommendation in detail to all his clients at the same time



Standard III: DUTIES TO CLIENTS

Standards III (B): Fair Dealing

4

Practice example



Practice Example 1: Additional services for select clients



Guidance III(B).4: Different levels of services

M&C may provide more specialized, in-depth service to clients who are willing to pay for premium services.

Disseminate the
recommendation



Discuss with
selected clients

Weng widely disseminated the recommendation and provided the information to all his clients **prior to** discussing it with a select few.

His largest clients received **additional personal service** because they presumably **pay higher fees** or because they have a large amount of assets under Weng's management.

Answer: B



Standard III: DUTIES TO CLIENTS

Standards III (C): Suitability

Standard III(C)

1. When M&Cs are in an advisory relationship with a client, they must:
 - a. Make a **reasonable inquiry** into a client's or prospective client's investment experience, risk and return objectives, and financial constraints **prior to** making any investment recommendation or taking investment action and must reassess and update this information regularly.
 - b. Determine that an **investment is suitable** to the client's financial situation and consistent with the client's **written objectives, mandates, and constraints** before making an investment recommendation or taking investment action.
 - c. Judge the suitability of investments in the context of the client's **total portfolio**.
2. When M&Cs are responsible for managing a portfolio to a specific mandate, strategy, or style, they must make only investment recommendations or take only investment actions that are **consistent with the stated objectives and constraints** of the portfolio.

1

General guidance

01

M&C who are in an investment advisory relationship with clients: **inquire carefully** client's investment experience, risk and return objectives, and financial constraints.



Standard III: DUTIES TO CLIENTS

Standards III (C): Suitability

1

General guidance (continued)

02

Before making an investment recommendation or taking investment action, the **suitability of the option must be judged** reasonably carefully based on all the information mentioned above.

03

When M&Cs are responsible for managing a portfolio to a specific mandate, strategy, or style: they have to **consistently follow** the stated mandate.

04

The responsibilities of M&Cs to gather information and make a suitability analysis prior to making a recommendation or taking investment action **do not fall on** M&Cs who are simply executing specific instructions for retail clients when buying or selling securities.



Standard III: DUTIES TO CLIENTS

Standards III (C): Suitability

2

Detailed guidance in several major circumstances

III(C).1. Developing an Investment Policy

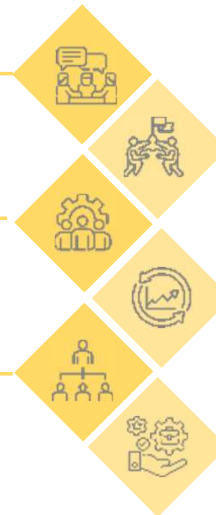
III(C).3. Updating an Investment Policy

III(C).5. Managing to an Index or Mandate

III(C).2. Understanding the Client's Risk Profile

III(C).4. The Need for Diversification

III(C).6. Addressing Unsolicited Trading Requests





Standard III: DUTIES TO CLIENTS

Standards III (C): Suitability

2

Detailed guidance in several major circumstances

III(C).1. Developing an Investment Policy



Gather the information

- Client's financial circumstances
- Personal data



Create an IPS

- Risk tolerance
- Return requirements
- Investment constraints
- Schedules for review and evaluation
- Roles and responsibilities of the parties

III(C).2. Understanding the Client's Risk Profile



Consider the possibilities of rapidly changing investment environments and their likely impact.

For example: Some political events can have major impacts on labor force's salary and wages. M&C should pay careful attention to the change in clients' income so that he can re-evaluate those clients' risk profile.



Standard III: DUTIES TO CLIENTS

Standards III (C): Suitability

2

Detailed guidance in several major circumstances

III(C).2. Understanding the Client's Risk Profile

- ✓ Pay attention to the leverage inherent in many synthetic investment vehicles or products when considering them for client's portfolio.
Example: A product with a high level of leverage, such as some kinds of derivative, should be considered carefully for customers whose risk tolerance is relatively low.
- ✓ Analyze and quantify the risk of investment strategies in advance.

III(C).3. Updating an Investment Policy

- ✓ Update the IPS **at least annually** and also prior to **material changes (*)** to any specific investment recommendations or decisions on behalf of the client.
For an individual, material change may include number of dependents, personal tax status, health, liquidity needs, risk tolerance, ...
- ✓ If clients withhold information about their financial portfolios, the suitability analysis must be based on the information provided. M&C don't have to hold responsibilities for the information withheld.



Standard III: DUTIES TO CLIENTS

Standards III (C): Suitability

2

Detailed guidance in several major circumstances

III(C).4. The Need for Diversification



A reasonable amount of diversification is the norm for many portfolios.

An investment with high relative risk may be a suitable investment:
(1) In the context of the entire portfolio (diversification); or (2)
When the client's risk tolerance is high

III(C).5. Managing to an Index or Mandate

M&Cs who are responsible for managing a fund to an index or an expected mandate:



Obligated to invest in a manner consistent with the stated mandate.

*Example: A is a manager of a fund whose mandate is tracking the VN30 index.
→ A is obliged to follow the mandate and he will violate standard III(C) if he invests in any stocks that is unlisted in the VN30 index.*



Standard III: DUTIES TO CLIENTS

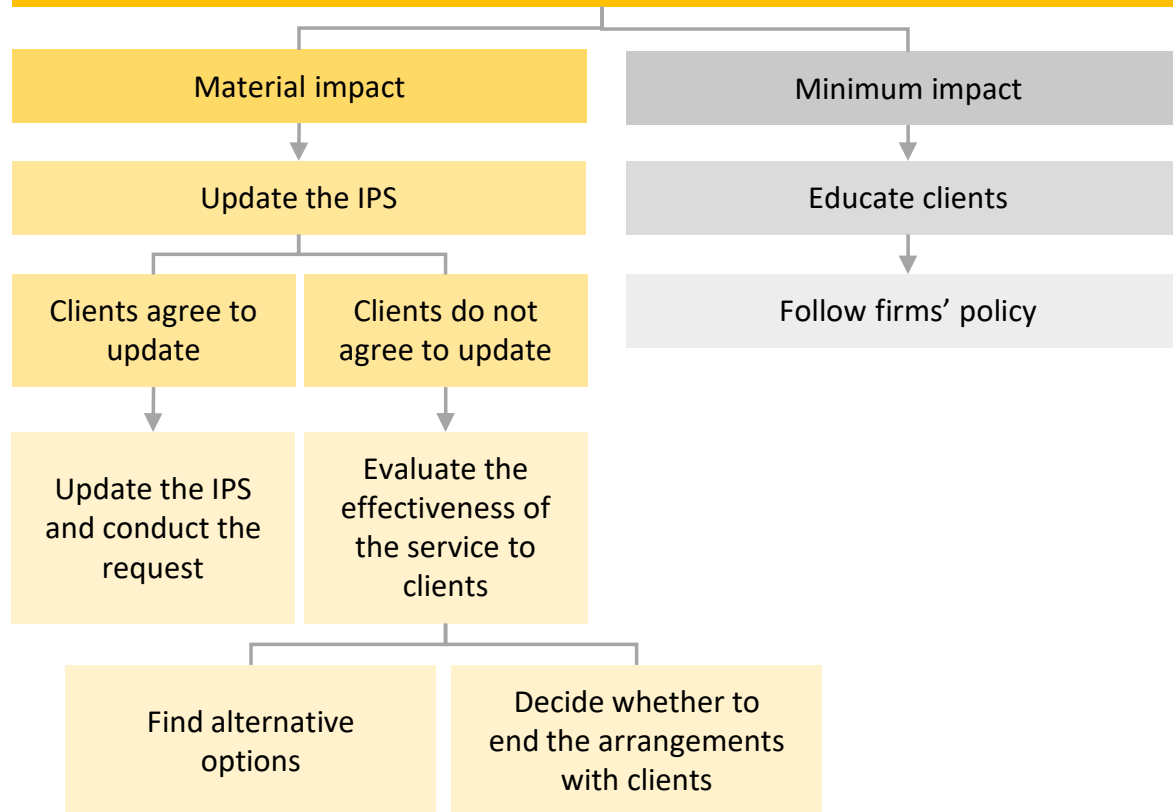
Standards III (C): Suitability

2

Detailed guidance in several major circumstances

III(C).6. Addressing Unsolicited Trading Requests

Unsolicited request





Standard III: DUTIES TO CLIENTS

Standards III (C): Suitability

3

Recommended procedures for compliance

- Put the needs and circumstances of each client and the client's investment objectives into a written IPS for each client.
- Consider the type of client and whether there are separate beneficiaries, investor objectives (return and risk), investor constraints (liquidity needs, expected cash flows, time, tax, and regulatory and legal circumstances), and performance measurement benchmarks.
- Review investor's objectives and constraints periodically to reflect any changes in client circumstances.



Standard III: DUTIES TO CLIENTS

Standards III (C): Suitability

4

Practice example



Practice Example 1: Investment Suitability – Risk Profile

Caleb Smith, an investment adviser, has two clients: Larry Robertson, 60 years old, and Gabriel Lanai, 40 years old. Both clients earn roughly the same salary, but Robertson has a much higher risk tolerance because he has a large asset base. Robertson is willing to invest part of his assets very aggressively; Lanai wants only to achieve a steady rate of return with low volatility to pay for his children's education. Smith recommends investing 20% of both portfolios in zero-yield, small-cap, high-technology equity issues.

- A. Smith does not violate any standards because he wants both clients to earn the same profit.
- B. Smith violates the standard because Robertson's investment is not suitable for him.
- C. Smith violates the standard because Lanai's investment is not suitable for him.



Standard III: DUTIES TO CLIENTS

Standards III (C): Suitability

4

Practice example



Practice Example 1: Investment Suitability – Risk Profile



Guidance III(C).2: Understanding the Client's Risk Profile

Determine that an investment is suitable to the client's financial situation and consistent with the client's **written objectives, mandates, and constraints** before making an investment recommendation or taking investment action.

Zero-yield, small-cap, high-technology equity issues belong to risky asset class

Lanai's risk tolerance is much lower compared to Robertson's



The investment of 20% portfolios into zero-yield, small-cap, high-tech equity issues:

- Suitable for Robertson
- Too risky for Lanai.

→ Smith violates standard III(C) - Suitability

Answer: C



Standard III: DUTIES TO CLIENTS

Standards III (D): Performance Presentation

Standard III(D)

When communicating investment performance information, members and candidates must make reasonable efforts to ensure that it is **fair, accurate, and complete**.

1

General guidance

01

Provide credible performance information to clients and prospective clients and avoid misstating performance or misleading clients and prospective clients about the investment performance of members or candidates or their firms.

02

Not state or imply that clients will obtain or benefit from a rate of return that was generated in the past.

03

If the presentation is brief → Make the detailed information supporting that presentation available (*ready to provide on request*).

04

When promoting the success or accuracy of their recommendations → Ensure that their claims are fair, accurate, and complete.



Standard III: DUTIES TO CLIENTS

Standards III (D): Performance Presentation

2**Recommended procedures for compliance**

- Considering the sophistication of the audience to whom a performance presentation is addressed.
- Presenting performance of weighted composite of similar portfolios rather than a single account.
- Including terminated accounts as part of historical performance and clearly stating when they were terminated.
- Including all appropriate disclosures to fully explain results (e.g., model results included, gross or net of fees, etc.).
- Maintaining data and records used to calculate the performance being presented.



Standard III: DUTIES TO CLIENTS

Standards III (D): Performance Presentation

3

Practice example



Practice Example 1: Brief Presentation

Nancy Korthauer, CFA, has launched a new hedge fund called the Korthauer Tautology Fund and is actively soliciting clients from competitor's firms. Client presentations are necessarily brief and often take place with the prospective client's current investment advisor in the room. The Code and Standards require that:

- A. A prospective client's current investment advisor not participate in meetings.
- B. All client presentations provide a thorough review of all elements of the investment management process. Abbreviated presentations are forbidden.
- C. Member or candidate provide on request additional detail information which supports the abbreviated presentation.



Standard III: DUTIES TO CLIENTS

Standards III (D): Performance Presentation

4

Practice example



Practice Example 1: Brief Presentation



General Guidance III(D).3:

If the presentation is brief → Make the detailed information supporting that presentation available (*ready to provide on request*).

A M&C can still provide brief or abbreviated presentation, as long as they make sure that all the detailed information are available and accessible for the clients and prospective clients (it can be provided on request).

Answer: C



Standard III: DUTIES TO CLIENTS

Standards III (E): Preservation of Confidentiality

Standard III(E)

M&Cs must keep information about current, former, and prospective clients confidential unless:

- The information concerns **illegal activities** on the part of the client;
- Disclosure is **required by law**; or
- The client or prospective **client permits disclosure** of the information.

1

General guidance

01

This standard is applicable when:

- The member or candidate receives information because of his or her special ability to conduct a portion of the client's business.
- The member or candidate receives information that arises from or is relevant to that portion of the client's business that is the subject of the special or confidential relationship.

02

If disclosure of the information is required by law or the information concerns illegal activities by the client, however, the member or candidate may have an obligation to report the activities to the appropriate authorities.

03

M&C are permitted to disclose the information to authorized fellow employees who are also working for the client.



Standard III: DUTIES TO CLIENTS

Standards III (E): Preservation of Confidentiality

2

Detailed guidance in several major circumstances

III(E).1. Status of Client

III(E).3. Electronic Information and Security

III(E).2. Compliance with Laws

III(E).4. Professional Conduct Investigations by CFA Institute

III(E).1. Status of Client

- ✓ Maintain the confidentiality of client information even after the client relationship has ended. *(This includes statement that reveals client's business relationship, or personal information such as date of birth, passport number, phone number,..)*
- ✓ Provide the information if a client or former client expressly authorizes the M&C to disclose information.



Standard III: DUTIES TO CLIENTS

Standards III (E): Preservation of Confidentiality

2

Detailed guidance in several major circumstances

III(E).2. Compliance with Laws

- ✓ If applicable law requires disclosure of client information in certain circumstances → Comply with the law.
- ✓ If applicable law requires members and candidates to maintain confidentiality, even if the information concerns illegal activities → Should not disclose the information.
- ✓ Seek legal counsel or consult with compliance personnel when in doubt.

III(E).3. Electronic Information and Security

- Standard III(E) does not require members or candidates to become experts in information security technology, but they should **have a thorough understanding** of the policies of their employer. *i.e. they should be especially careful with electronically stored information.*
- Should encourage their firm to conduct regular periodic training on confidentiality procedures for all firm personnel.

III(E).4. Professional Conduct Investigations by CFA Institute

- Standard III(E) does not prevent members and candidates from cooperating with an investigation by the CFA Institute Professional Conduct Program (PCP).



Standard III: DUTIES TO CLIENTS

Standards III (E): Preservation of Confidentiality

3

Recommended procedures for compliance

- Avoid disclosing information received from a client except to authorized coworkers who are also working for the client.
- Follow firm procedures for storage of electronic data and recommend adoption of such procedures if they are not in place.

4

Practice example



Practice Example 1: Information disclosure

At his golf club on Saturday morning, Paul Corwin, CFA, sees Frank Roberts, a friend and institutional client of his, who tells him that he is planning to sell his house on the 7th fairway. While golfing that day, Corwin tells Robert Lowe, a realtor, that Roberts is planning to sell his house and may need a realtor. He also tells Lowe that he manages an equities account for Roberts. If Corwin has not received permission from Roberts, he has violated the Standard on preservation of confidentiality:

- A. Both by disclosing Roberts' plan to sell his home and that he is a client.
- B. By disclosing Roberts' plan to sell his home but not by mentioning that he was a client.
- C. By disclosing that Roberts is a client of his but not by mentioning Roberts' plan to sell his home.



Standard III: DUTIES TO CLIENTS

Standards III (E): Preservation of Confidentiality

4

Practice example



Practice Example 1: Information disclosure



General Guidance III(E).1:

This standard is applicable when:

- The member or candidate receives information because of his or her special ability to conduct a portion of the client's business.
- The member or candidate receives information that arises from or is relevant to that portion of the client's business that is the subject of the special or confidential relationship.

Detailed Guidance III(E).1: M&C must maintain the confidentiality of client information even after the client relationship has ended.

- Roberts violated Standard III(E) Preservation of Confidentiality by revealing his business relationship with Roberts without permission.
- Because the information that Roberts' plans to sell his home is not received as part of his professional relationship with Roberts, it is not covered by the Standard → He can disclose this information.

Answer: C

**Standard IV: DUTIES TO EMPLOYERS****Standard IV(A): Loyalty****Standard
IV(A)**

In matters related to their employment, Members and Candidates must:

- Act for the benefit of their employer.
- Not deprive their employer of the advantage of their skills and abilities.
- Not divulge confidential information, or otherwise cause harm to their employer.

1**General guidance****01**

Should protect the interests of their firm by refraining from any conduct that would injure the firm, deprive it of profit, or deprive it of the M&C's skills and ability.

02

Must always place the interests of clients above the interests of their employer, but also consider the effects of the conduct on the sustainability and integrity of the employer firm.

03

Must comply with the policies and procedures established by their employers to the extent that such policies and procedures do not conflict with applicable laws, rules, or regulations or the Code and Standards.



Standard IV: DUTIES TO EMPLOYERS

Standard IV(A): Loyalty

2

Detailed guidance in several major circumstances

IV(A).1. Employer Responsibilities



IV(A).2. Independent Practice



IV(A).3. Leaving an Employer



IV(A).4. Use of Social Media



IV(A).5. Whistleblowing



IV(A). 6. Nature of Employment



IV(A).1. Employer Responsibilities

- ✓ Employers must recognize the duties and responsibilities that they owe to their employees.
- ✓ M&C are encouraged to provide their employer with a copy of the Code and Standards.
- ✓ Employers are not obligated to adhere to the Code and Standards, yet they **should not** develop **conflicting** policies and procedures.



Standard IV: DUTIES TO EMPLOYERS

Standard IV(A): Loyalty

2

Detailed guidance in several major circumstances

IV(A).2. Independent Practice

- ✓ Abstain from independent competitive activity that could conflict with the interests of their employer.



M&C plan to engage in independent practice for compensation



Notify employer

- Types of services
- Expected duration of the services
- Compensation for the services

Receive consent from employer

M&C start to render the services

- *“Practice”*: any service that the employer currently makes available for remuneration.
- *“Undertaking independent practice”*: engaging in competitive business, as opposed to making preparations to begin such practice.



Standard IV: DUTIES TO EMPLOYERS

Standard IV(A): Loyalty

2

Detailed guidance in several major circumstances

IV(A).3. Leaving an Employer

- ✓ When M&C are **planning to leave** their current employer, they must continue to act in the employer's best interest.
- ✓ Departing employee is generally free to make **arrangements or preparations** before terminating the relationship with his or her employer.
- ✓ Skills and experience that an employee obtained while employed **are not** "confidential" or "privileged" information.
- ✓ Contacting clients of previous firm as long as the contact information **does not come from the records** of the former employer or not violate an applicable "noncompete agreement".
- ✗ Contacting existing clients or potential clients prior to leaving for the purpose of **soliciting** their business for the new employer.
- ✗ Engage in activities that would **conflict** with the employer's interest **before** their resignation becomes effective.
- ✗ Take records or files to a new employer **without the written permission** of the previous employer.



Standard IV: DUTIES TO EMPLOYERS

Standard IV(A): Loyalty

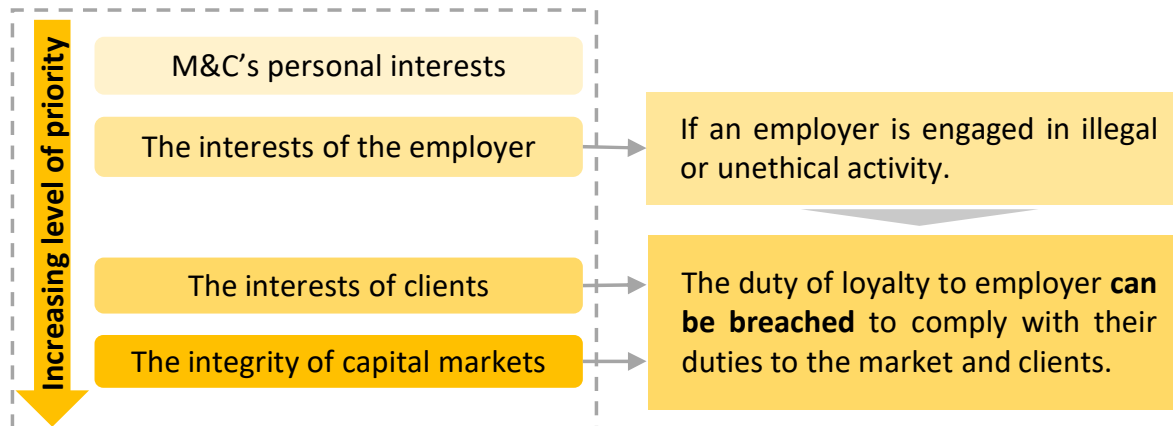
2

Detailed guidance in several major circumstances

IV(A).4. Use of Social Media

- Understand and abide by all applicable policies and regulations **acceptable use** of social media platforms to interact with clients and prospective clients.
- Firm-approved business-related accounts would be considered **part of the firm's assets**.
- ✓ Maintain **separate accounts** for personal and professional social media activities, or **consult** the employer about how profiles should be treated when a single account includes personal connections and professional activities.

IV(A).5. Whistleblowing





Standard IV: DUTIES TO EMPLOYERS

Standard IV(A): Loyalty

2

Detailed guidance in several major circumstances

IV(A).6. Nature of Employment

M&C's duty to employer

Based on degree of control
exercised by employer

Independent contractor

Employee

Comply with the **agreement** between
the member and the client.

Comply with **Standard IV**



Standard IV: DUTIES TO EMPLOYERS

Standard IV(A): Loyalty

3

Recommended Procedures for Compliance

Competition policy:

- Understand any restrictions placed by the employer on offering similar services outside the firm while employed by the firm.
- If a member's or candidate's employer elects to have its employees sign a non-compete agreement as part of the employment agreement, the member or candidate should ensure that the details are clear and fully explained prior to signing the agreement.

Termination policy: Clearly understand the termination policies of their employer.

Incident-reporting procedures: Be aware of their firm's policies related to whistleblowing and encourage their firm to adopt industry best practices in this area.

Employee classification: Understand their status within their employer firm.



Standard IV: DUTIES TO EMPLOYERS

Standard IV(A): Loyalty

4

Practice example



Practice Example 1: Leaving an Employer

Fernando Abrea, CFA was an analyst for Pacific Investments. In October he left Pacific and joined Global Securities as manager of a local office. Abrea's change of employment came about in the following manner:

- In April, Abrea contacted Global about a possible position he saw advertised in a financial publication and had exploratory meetings with Global.
- In July, Abrea submitted a strategic plan to Global and signed an agreement to join Global. He then contracted for office space on behalf of Global.
- On October 15, Abrea's resignation from Pacific became effective. He did not take any client lists from Pacific.
- On October 16, Abrea mailed a letter that explained his new undertaking with Global to prospective clients, including his former clients at Pacific.

With respect to Standard IV(A) Loyalty, Abrea:

- A. Violated the Standard by contacting his former clients at Pacific.
- B. Did not violate the Standard.
- C. Violated the Standard by contracting for office space on behalf of Global.



Standard IV: DUTIES TO EMPLOYERS

Standard IV(A): Loyalty

4

Practice example



Practice Example 1: Leaving an Employer



Guidance IV(A).3: Leaving an Employer

Departing employee is generally free to make arrangements or preparations before terminating the relationship with his or her employer.

When M&C are **planning to leave** their current employer, they must continue to act in the employer's best interest.

None of the preparatory activities prior to resignation of Abrea suggest that he did not continue to act in Pacific's interests.

Abrea may contact his former clients on behalf of Global after his resignation, as long as he did not misappropriate their contact information from Pacific.

Answer: B



Standard IV: DUTIES TO EMPLOYERS

Standard IV(A): Loyalty

4

Practice example



Practice Example 2: Externally Compensated Practice

Sue Parsons, CFA, works full-time as an investment advisor for the Malloy Group, an asset management firm. To help pay for her children's college expenses, Parsons wants to engage in independent practice in which she would advise individual clients on their portfolios. She would conduct these investment activities only on weekends. She is currently only in the preparation stage and has not started independent practice yet. Which of the following statements about Standard IV(A), Loyalty to Employer, is most accurate? Standard IV(A):

- A. Does not require Parsons to notify Malloy of preparing to undertake independent practice under the current conditions.
- B. Requires Parsons to notify Malloy in writing about her intention to undertake an independent practice.
- C. Requires Parsons to obtain written consent from both Malloy and the persons from whom she undertakes independent practice.



Standard IV: DUTIES TO EMPLOYERS

Standard IV(A): Loyalty

4

Practice example



Practice Example 2: Externally Compensated Practice



Guidance IV(A).2: Independence Practice

M&C who plan to engage in independent practice for compensation must notify their employer. M&C **should not render services** until they receive consent from the employer to all of the terms of the arrangement.

It is not required to get permission from the employer when Parsons is **only preparing** to go into independent practice, it is only required **before she undertakes** the independent practice in competition with Malloy

Answer: A



Standard IV: DUTIES TO EMPLOYERS

Standard IV(B): Additional Compensation Arrangements

Standard IV(B)

M&C must not accept gifts, benefits, compensation, or consideration that competes with or might reasonably be expected to create a conflict of interest with their employer's interest unless they obtain written consent from all parties involved.

1

General guidance

01

Must obtain **written consent (1)** from their employer before accepting **compensation or other benefits (2)** from third parties for the services rendered to the employer or for any services that might create a conflict with their employer's interest.

(1) **Written consent:** any form of communication that can be documented, *for example, communication via e-mail that can be retrieved and documented.*

(2) **Compensation and benefits:** direct compensation by the client and any indirect compensation or other benefits received from third parties.

Example 1: A client told Whitman that whenever the return of her portfolio reaches above 20%, she will give Whitman a bonus for his outstanding performance.

⇒ This might create a conflict.



Standard IV: DUTIES TO EMPLOYERS

Standard IV(B): Additional Compensation Arrangements

2**Recommended Procedures for Compliance**

- M&C should make an immediate written report to their supervisor and compliance officer specifying any compensation they propose to receive for services in addition to the compensation or benefits received from their employer.
- The details of the report should be confirmed by the party offering the additional compensation, including performance incentives offered by clients.
- This written report should state the terms of any agreement under which a member or candidate will receive additional compensation; "terms" include the nature of the compensation, the approximate amount of compensation, and the duration of the agreement.



Standard IV: DUTIES TO EMPLOYERS

Standard IV(B): Additional Compensation Arrangements

3

Practice example



Practice Example 1:

David Saul, CFA, heads the trust department at Savage National Bank. Fairway Enterprises invites Saul to sit on its Board of Directors. In return for his services on the Board, Fairway offers to provide Saul and his family with access to the facilities at Wilmont Country Club at no cost. Saul will not receive any monetary compensation for his services on the Board. According to CFA Institute Standards of Professional Conduct, which of the following actions must Saul take?

- A. Saul must disclose in writing to Savage Bank the terms of the offer, whether or not he accepts the offer to serve on the Board of Directors.
- B. Saul must obtain written consent from Savage Bank and Fairway Enterprises if he decides to accept the offer to serve on the Board of Directors.
- C. Saul must reject the offer to serve on the Board of Directors.



Standard IV: DUTIES TO EMPLOYERS

Standard IV(B): Additional Compensation Arrangements

4

Practice example

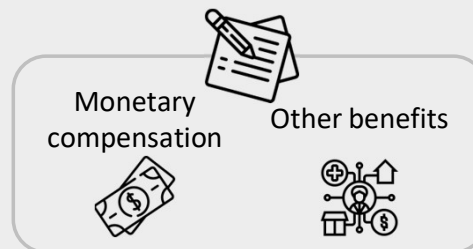


Practice Example 1:



Standard IV(B): Additional Compensation Arrangements

Must obtain **written consent** from their employer before accepting **compensation or other benefits** from third parties for the services rendered to the employer or for any services that might create a conflict with their employer's interest.



Saul is required to obtain written consent from all parties involved, namely Saul's employer and Fairway's Board of Directors, before accepting the position and the benefit of the access to the facilities at no cost from Fairway.

Answer: B



Standard IV: DUTIES TO EMPLOYERS

Standard IV(C): Responsibilities of Supervisors

Standard IV(C)

M&C must make reasonable efforts to ensure that anyone subject to their supervision or authority complies with applicable laws, rules, regulations, and the Code and Standards.

1

General guidance

01

Must promote actions by **all employees** under their supervision and authority to comply with applicable laws, rules, regulations, and firm policies and the Code and Standards.

02

Instructing those subordinates to whom supervision is delegated about methods to promote compliance.

03

Make reasonable efforts to prevent and detect violations by ensuring the establishment of effective compliance systems.



Standard IV: DUTIES TO EMPLOYERS

Standard IV(C): Responsibilities of Supervisors

1

General guidance

04

Implement education and training programs on a recurring or regular basis for employees under their supervision.

05

Bring inadequate compliance system to the attention of the firm's senior managers and recommend corrective action.

2

Detailed guidance in several major circumstances

IV(C).1. System for Supervision



IV(C).2. Supervision includes
Detection



Standard IV: DUTIES TO EMPLOYERS

Standard IV(C): Responsibilities of Supervisors

2

Detailed guidance in several major circumstances

IV(C).1. System for Supervision

- ✓ Understand what constitute an **adequate compliance system (1)** for their firms.
- ✓ Make reasonable efforts to see that appropriate **compliance procedures (2)** are established, documented, communicated to covered personnel, and followed.

On learning that an employee has violated or may have violated

Promptly initiate an assessment to determine the extent of the wrongdoing

✗ Relying on an employee's statements that the wrongdoing will not reoccur.

✗ Reporting the misconduct up the chain of command and warning the employee to cease the activity.

✓ Take steps to ensure that the violation will not be repeated, such as:

- Placing limits on the employee's activities
- Increasing the monitoring of the employee's activities.

(1) **"Adequate" procedures** are those designed to meet industry standards, regulatory requirements, the requirements of the Code and Standards, and the circumstances of the firm.

(2) To be effective, compliance procedures must be **in place** prior to the occurrence of a violation of the law or the Code and Standards.



Standard IV: DUTIES TO EMPLOYERS

Standard IV(C): Responsibilities of Supervisors

2

Detailed guidance in several major circumstances

IV(C).1. System for Supervision

- ✓ A member or candidate with supervisory responsibility should **bring an inadequate compliance system to the attention** of the firm's senior managers and recommend corrective action.

Compliance guidance: Specific case

Absence of a compliance system or an inadequate compliance system

Decline in writing to accept supervisory responsibility until the firm adopts reasonable procedures to allow adequate exercise of supervisory responsibility.



Standard IV: DUTIES TO EMPLOYERS

Standard IV(C): Responsibilities of Supervisors

2

Detailed guidance in several major circumstances

IV(C).2. Supervision includes Detection

- ✓ Must make reasonable efforts to detect violations of laws, rules, regulations, firm policies, and the Code and Standards.

Compliance guidance: Specific case

There is a risk that procedures to promote compliance, to detect and prevent violations, **are not being followed**.

M&C takes no action.

M&C takes actions:

- Adopting reasonable procedures
- Taking steps to institute an effective compliance program

Violation happens

M&C violates the standard IV(C)

M&C does not violate the standard IV(C)



Standard IV: DUTIES TO EMPLOYERS

Standard IV(C): Responsibilities of Supervisors

3

Recommended Procedures for Compliance

- A member should recommend that his employer adopt a code of ethics.
- Employers should distinguish between compliance procedures and the firm's code of ethics.
- Members should encourage employers to provide their code of ethics to clients.
- If there is a violation, respond promptly and conduct a thorough investigation while increasing supervision or placing limitations on the wrongdoer's activities.

Adequate compliance procedures should:

- Be clearly written.
- Be easy to understand.
- Designate a compliance officer with authority clearly defined.
- Have a system of checks and balances. Outline the scope of procedures.
- Outline what conduct is permitted. Contain procedures for reporting violations and sanctions.
- Structure incentives so that unethical behavior is not rewarded.

Once the compliance program is instituted, the supervisor should:

- Distribute it to the proper personnel.
- Update it as needed.
- Continually educate staff regarding procedures.
- Issue reminders as necessary.
- Require professional conduct evaluations.
- Review employee actions to monitor compliance and identify violations.
- Enforce procedures once a violation occurs.
- Review procedures and identify any changes needed to prevent violations in the future.



Standard IV: DUTIES TO EMPLOYERS

Standard IV(C): Responsibilities of Supervisors

4

Practice example



Practice Example 1: Inadequate Procedures

Bill Fence, CFA, supervises a group of research analysts, non of whom have earned the CFA designation (nor are they CFA candidates). On several occasions he has attempted to get his firm to adopt a compliance system to ensure that applicable laws and regulations are followed. However, the firm's principals have never adopted his recommendations. Fence should most appropriately:

- A. Take no further action, because by encouraging his firm to adopt a compliance system he has fulfilled his obligations under the Code and Standards.
- B. Report the inadequacy by submitting a compliant in writing to the CFA Institute Professional Conduct Program.
- C. Refuse supervisory responsibility.



Standard IV: DUTIES TO EMPLOYERS

Standard IV(C): Responsibilities of Supervisors

4

Practice example



Practice Example 1: Inadequate Procedures



Guidance IV(C).1: System for Supervision

In absence of a compliance system or there is an inadequate compliance system, M&C should decline in writing to accept supervisory responsibility until the firm adopts reasonable procedures.

If Fence cannot discharge supervisory responsibilities because of a poor or nonexistent compliance system, he should decline in writing to accept supervisory responsibility until the firm adopts an adequate system.

Answer: C

**Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS****Standard V(A): Diligence and reasonable basis****Standard
V(A)**

Members and Candidate must:

- Exercise diligence, independence, and thoroughness in analyzing investments, making investment recommendations, and taking investment actions.
- Have a reasonable and adequate basis, supported by appropriate research and investigation, for any investment analysis, recommendation, or action.

1**General guidance****01**

Must make reasonable efforts to cover all pertinent issues when arriving at a recommendation.

02

Enhance transparency by providing or offering to provide supporting information to clients when recommending a purchase or sale or when changing a recommendation.



Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS

Standard V(A): Diligence and reasonable basis

2

Detailed guidance in several major circumstances

V(A).1. Defining Diligence and Reasonable Basis

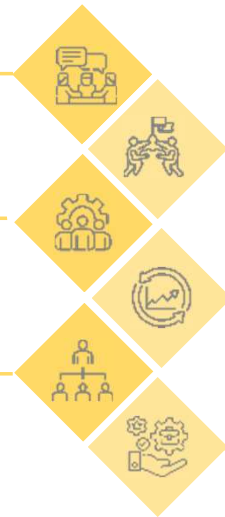
V(A).3. Using Quantitatively Oriented Research

V(A).5. Selecting External Advisers and Subadvisers

V(A).2. Using Secondary or Third-Party Research

V(A).4. Developing Quantitatively Oriented Techniques

V(A).6. Group Research and Decision Making





Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS

Standard V(A): Diligence and reasonable basis

2

Detailed guidance in several major circumstances

V(A).1. Defining Diligence and Reasonable Basis

Diligence

Members and candidates are putting forth the necessary effort to support the recommendation they are making.

Reasonable basis

Investment decision must be based on facts that are known and understood as well as resources provided to analysts at the time of investment recommendation.

Example: Violation of reasonable basis in the tech bubble

Reasonable basis was ignored in the time of tech bubble in the US because tech stocks were recommended based on optimism about expected growth (opinion but not fact) without considering the fundamentals of companies.

**Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS****Standard V(A): Diligence and reasonable basis****2****Detailed guidance in several major circumstances****V(A).2. Using Secondary or Third-Party Research**

Secondary research is research conducted by someone else **in the firm**

Third party research is research conducted by someone else **outside the firm**

- ✓ M&C must make reasonable and diligent efforts to determine whether such research is sound, based on:
 - Assumption used
 - Rigor of the analysis performed
 - Date/timeliness of the research
 - Evaluation of the objectivity and independence of the recommendations
- ✓ Should make reasonable inquiries into the **source and accuracy** of all data used in completing their investment analysis and recommendation.
- ✓ M&C may rely on others in his or her firm to determine whether secondary and third-party research is sound and use the information in good faith.
- ✓ Should verify that the firm has a policy about the timely and consistent review of approved research providers.



Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS

Standard V(A): Diligence and reasonable basis

2

Detailed guidance in several major circumstances

V(A).3. Using Quantitatively Oriented Research

General context:



- Each quantitative models have their own drawbacks. In some cases, the quantitative models may not adequately demonstrate the level of associated risk.

→ Therefore, in quantitatively oriented research, M&C should take reasonable care when using the models.

**Compliance
requirements
for M&C**

Step 1

- Clearly understand the models (especially assumptions and parameters).
- Ensure that that sufficient assumptions are incorporated into models.

Step 2

Test the output of the model.

- ✓ M&C must understand parameters and assumptions used in models as well as models' limitation
- ✓ M&C should make every effort to test the output of investment models before incorporating into recommendation
- ✓ M&C should ensure that their analyses incorporate a broad range of assumptions sufficient to capture the underlying characteristics of investments.



Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS

Standard V(A): Diligence and reasonable basis

2

Detailed guidance in several major circumstances

V(A).4. Developing Quantitatively Oriented Research

- ✓ M&C involved in the **development** of the models/algorithms must **understand the technical aspects** such as parameters, assumptions and limitations
- ✓ In **reviewing** the computer models or the resulting output, M&C need to pay particular attention to the **assumptions used** in the analysis and **the rigor of the analysis** → Incorporates a wide range of possible input expectations.

V(A).5. Selecting External Advisers and Subadvisers

- ✓ M&C must **review external managers** as diligently as individual securities.
- ✓ Members and candidates who are directly involved with the use of external advisers need to ensure that their firms have **standardized criteria** for reviewing these selected external advisers and managers. Criteria (include but not limited to) for reviewing these selected external:
 - Reviewing the adviser's established code of ethics
 - Understanding the adviser's compliance and internal control procedures
 - Assessing the quality of the published return information
 - Reviewing the adviser's investment process and adherence to its stated strategy.

**Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS****Standard V(A): Diligence and reasonable basis****2****Detailed guidance in several major circumstances****V(A).6. Group Research and Decision Making**

- ✓ If M&C does not agree but they believe that the group opinion has a reasonable basis and is independent and objective, then there is no need to dissociate.

Example: Dealing with disagreement in group decision making

An analyst named Evenly who has a report is disagreed by much of her colleagues. In this case, regardless of the future result might be right or wrong and in she can prove her reasonable basis, she doesn't have to dissociate.

3**Recommended Procedures for Compliance**

- Establish a policy that research report must have reasonable and adequate basis
- Written guidance
- Criteria for assessing the quality of research
- Detailed, written guidance for testing of all computer-based models
- Measurable criteria for assessing outside providers



Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS

Standard V(A): Diligence and reasonable basis

4

Practice example



Practice Example 1: Using Quantitatively Oriented Research

An analyst writes a report and includes the forecasts of an econometric model developed by the firm's research department. The analyst identifies the source of the forecast and includes all the relevant statistics concerning the model and his opinion of the model's accuracy. With respect to Standard V(A), Diligence and Reasonable Basis, the analyst has:

- A. violated the Standard by including quantitative details in a report.
- B. complied with the Standard.
- C. violated the Standard by not testing the model himself.



Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS

Standard V(A): Diligence and reasonable basis

4

Practice example



Practice Example 1: Using Quantitatively Oriented Research



Guidance V(A).3: Using Quantitatively Oriented Research

- M&C must understand parameters and assumptions used in models as well as models' limitation.
- M&C should ensure that their analyses incorporate a broad range of assumptions sufficient to capture the underlying characteristics of investments

The analyst's action:

- Identifies the source of the forecast
- Includes all the relevant statistics concerning the model and his opinion of the model's accuracy

⇒ The standard is satisfied

Answer: B



Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS

Standard V(B): Communicate with Clients and Prospective Clients

Standard V(B)

Members and Candidate must:

- Disclose to clients and prospective clients the **basic format** and **general principles** of the investment processes they use to analyze investments, select securities, and construct portfolios and must promptly disclose any changes that might materially affect those processes.
- Disclose to clients and prospective clients **significant limitations and risks** associated with the investment process.
- Use reasonable judgment in identifying which factors are important to their investment analyses, recommendations, or actions and include those factors in communications with clients and prospective clients.
- Distinguish between fact and opinion in the presentation of investment analysis and recommendations.

1

General guidance

01

Should communicate in a recommendation the factors that were instrumental in making the investment recommendation.

02

Distinguish clearly between opinions and facts.

03

Follow-up communication of significant changes or regular updates in the risk characteristics of a security or asset strategy is required.



Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS

Standard V(B): Communicate with Clients and Prospective Clients

2

Detailed guidance in several major circumstances

V(B).1. Informing Clients of the Investment Process

V(B).3. Identifying Risks and Limitations

V(B).5. Distinction between Facts and Opinions in Reports



V(B).2. Different Forms of Communication

V(B).4. Report Presentation

V(B).1. Informing Clients of Investment Process

M&C

Disclosing

Clients

- Description of decision-making process (an ongoing basis is required).
- Subsequent changes to decision making process
- Risk & limitations of the process.
- Specialization or diversification expertise provided by the external adviser(s).



Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS

Standard V(B): Communicate with Clients and Prospective Clients

2

Detailed guidance in several major circumstances

V(B).2. Different forms of communication

- ✓ New communication technologies may not be available to all, thus M&C should take reasonable steps to ensure all clients are treated fairly regarding accessibility.
- ✓ If content is in capsule form (such as a recommended stock list), M&C should notify clients that additional detail/analysis is available

V(B).3. Identifying Risks and Limitations

- ✓ Must outline to clients and prospective clients' significant risks and limitations of the analysis contained in their investment products or recommendations.

Risks that are **known** at the
time of the investment
action



M&C are **obliged** to disclose

Risks that are **not known** at
the time of the investment
action



M&C are **not obliged** to
disclose

Note: Having no knowledge of a risk/limitation that eventually results in a loss is not a violation.



Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS

Standard V(B): Communicate with Clients and Prospective Clients

2

Detailed guidance in several major circumstances

V(B).4. Report Presentation

- ✓ Investment advice based on quantitative research and analysis must be supported by **readily available** reference material and should be applied in a manner **consistent** with previously applied methodology.
- ✓ If changes in methodology are made, they should be **highlighted**.

V(B).5. Distinction between Facts and Opinions in Reports

FACT: things that happened in the past or are happening at the moment such as a security's past performance

OPINION: things that are forecasted or predicted to happen such as an estimate of a stock's EPS

- ✓ In the case of complex quantitative analyses, M&C must clearly **separate fact from statistical conjecture** (equivalent to opinion) and should identify the known limitations of an analysis.
- ✓ M&C should explicitly discuss with clients and prospective clients about the **assumptions** used in the investment models and **processes** to generate the analysis.
- ✗ M&Cs failed to indicate that earnings estimates, changes in the outlook for dividends, or future market price information **are opinions subject to future circumstances**.



Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS

Standard V(B): Communicate with Clients and Prospective Clients

3

Recommended Procedure for Compliance

- Internal peer review
- Maintenance of record and supply of additional information to clients

4

Practice example



Practice Example 1: Identifying Risk and Limitations

Rhonda Meyer, CFA, is preparing a research report on Moon Ventures, Inc. In the course of her research she learns the following:

- Moon had its credit rating downgraded by a prominent rating agency 3 years ago due to sales pressure in the industry. The rating was restored 3 months later when the pressure resolved.
- Moon's insider trading has been substantial over the last 3 months. Holdings of Moon shares by officers, directors, and key employees were reduced by 50% during that period.

In Meyer's detailed report making a buy recommendation for Moon, both the credit rating downgrade and the insider trading were omitted from the report. Meyer has:

- violated the Code and Standards by not including the insider trading information in her report.
- violated the Code and Standards by not including the insider trading information and by not including the credit rating downgrade in her report.
- not violated the Code and Standards in her report.



Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS

Standard V(B): Communicate with Clients and Prospective Clients

4

Practice example



Practice Example 1: Identifying Risk and Limitations



Guidance V(B).3. Identifying Risks and Limitations

M&C are expected to disclose risks that are known at the time of the investment recommendation.

Rhonda Meyer's action:

- Omit the credit rating downgrade.
- Omit insider trading

At the time of investment recommendation, the credit rating was restored so the previous credit downgrade if is no longer a risk. Therefore, the only risk that should be disclosed here is "insider trading".

⇒ Rhonda Meyer violated the standard by not disclosing the insider trading, not by omitting the credit rating downgrade.

Answer: A

**Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS****Standard V(C): Record Retention****Standard
V(C)**

Members and candidates must **develop and maintain appropriate records** to support their investment analyses, recommendations, actions, and other investment-related communications with clients and prospective clients.

1**General guidance****01**

Must retain records that substantiate the scope of their research and reasons for their actions or conclusions.

02

Records may be maintained either in hard copy or electronic form.



Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS

Standard V(B): Communicate with Clients and Prospective Clients

2

Detailed guidance in several major circumstances

V(C).1. New Media Records



V(C).2. Records Are Property
of the Firm

V(C).3. Local Requirements

V(C).1. New Media Records



M&C should ensure that all relevant information (which can come from many forms of new media such as e-mail, text messages or FB posts,...) is retained.

V(C).2. Records are Property of the Firm

When working
in the firm

When leaving

When working in the new firm

Works
created by
M&C
**belong to
firms**

M&Cs **cannot take**
original forms or copies
of supporting records
of the member's or
candidate's work
without express
consent

- M&C **cannot use historical recommendations or research** reports created at the previous firm
- M&C must **recreate their own research** by using available public resources or the new firm's resources.



Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS

Standard V(B): Communicate with Clients and Prospective Clients

2

Detailed guidance in several major circumstances

V(C).3. Local requirements

When local requirements and firm policies are **imposed**



M&C must abide

When local requirements and firm policies are **absent**



M&C must abide by CFAI rules (**7 years** minimum of record retention)

3

Recommended Procedure for Compliance

- Achieve research notes and other documents, either electronically or in hard copy, that support their current investment-related communications.



Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS

Standard V(B): Communicate with Clients and Prospective Clients

4

Practice example



Practice Example 1: Record Retention

Ethyl Redd recently joined Bloomington Investments as a research analyst. After spending an afternoon looking through the research team's achieves, Redd is not sure Bloomington maintains the records that support the team's analysis and recommendations for the minimum 7-year period called for by Standard V(C), Record Retention. What is Redd's most appropriate course of action?

- A. Decline to participate in any new research until she can verify that the firm is in compliance with the Standard.
- B. Keep her own copies of the relevant records and maintain them at home for a minimum 7-year holding period.
- C. Review the firm's record retention procedures with her supervisor or compliance officer to ensure that they comply with the Standard, or suggest ways to bring them into compliance.



Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS

Standard V(B): Communicate with Clients and Prospective Clients

4

Practice example



Practice Example 1: Record Retention



Standard V(C). Record Retention

M&C are required to maintain all records supporting analysis, recommendations, actions, and all other investment related communications with clients and prospects.

Guidance V(C).2. Records are Property of the Firm

When working in the firm, works created by M&C belong to the firm.

Ethyl Redd's action:

- These records are the property of the firm → Redd keeping her own copies at home could potentially violate the Standards.
- Redd's best course of action is to review the firm's procedures with her supervisor and recommend any improvements that are necessary to bring them into compliance with Standard V(C).

Answer: C



Standard VI: CONFLICTS OF INTEREST

Standards VI (A): Disclosure of conflicts

Standard VI(A)

Members and Candidates must:

- **Make full and fair disclosure** of all matters that could reasonably be expected to **impair their independence and objectivity** or interfere with respective duties to their clients, prospective clients, and employer.
- Ensure that such disclosures are **prominent**, are delivered in **plain language**, and communicate the relevant information **effectively**.

1

General guidance

01

Avoid actual conflicts or the appearance of conflicts of interest when possible.

02

When conflicts cannot be reasonably avoided, clear and complete disclosure of their existence is necessary.

03

Should err on the side of caution to ensure that conflicts are effectively communicated when making and updating disclosures of conflicts of interest.



Standard VI: CONFLICTS OF INTEREST

Standards VI (A): Disclosure of conflicts

2

Detailed guidance in several major circumstances

VI(A).1. Disclosure of Conflicts to Employers

VI(A).3. Cross-Departmental Conflicts

VI(A).5. Conflicts as a Director



VI(A).2. Disclosure to Clients

VI(A).4. Conflicts with Stock Ownership

VI(A).1. Disclosure of Conflicts to Employers

- ✓ When reporting conflicts of interest to employers, M&Cs must give their employers **enough information** to assess the impact of the conflict.
- ✓ M&Cs must take reasonable steps to **avoid conflicts** and, if they occur inadvertently, must **report them promptly** so that the employer and the M&C can resolve them as quickly and effectively as possible.
- ✓ Any potential conflict situation that could prevent clear judgment about or full commitment to the execution of a M&C's duties to the employer should be **reported to the M&C's employer and promptly resolved**.



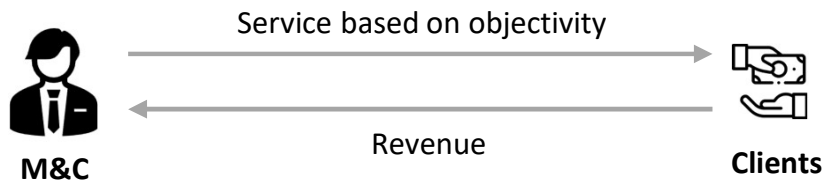
Standard VI: CONFLICTS OF INTEREST

Standards VI (A): Disclosure of conflicts

2

Detailed guidance in several major circumstances

VI(A).2. Disclosure to Clients



In order to be seen as objective by clients, M&C should to disclose:

- ✓ Relationships between an issuer and the member, the candidate, or his or her firm.
- ✓ Fee arrangements, subadvisory agreements, or other situations involving nonstandard fee structures.
- ✓ Arrangements in which the firm benefits directly from investment recommendations.



Standard VI: CONFLICTS OF INTEREST

Standards VI (A): Disclosure of conflicts

2

Detailed guidance in several major circumstances

VI(A).3. Cross-Departmental Conflicts



M&Cs and their firms should attempt to **resolve situations presenting potential conflicts of interest or disclose them** in accordance with the principles.

Other circumstances can give rise to actual or potential conflicts of interest.

For instance:

- 1. A sell-side analyst:** may be encouraged, not only by members of her or his own firm but by corporate issuers themselves, to write research reports about particular companies.
- 2. A buy-side analyst:** likely to be faced with similar conflicts as banks exercise their underwriting and security-dealing powers.
- 3. The marketing division:** may ask an analyst to recommend the stock of a certain company in order to obtain business from that company.



Standard VI: CONFLICTS OF INTEREST

Standards VI (A): Disclosure of conflicts

2

Detailed guidance in several major circumstances

VI(A).4. Conflicts with Stock Ownership

Stock ownership conflict: Conflicts that happens when M&Cs own stock in companies that he or she recommends to clients

Therefore:

Compliance requirement

For sell-side M&C

- ✓ Disclose any **materially beneficial ownership interest** in a security or other investment that the member or candidate is recommending.

For buy-side M&C

- ✓ Disclose their **procedures for reporting requirements** for personal transactions.



Standard VI: CONFLICTS OF INTEREST

Standards VI (A): Disclosure of conflicts

2

Detailed guidance in several major circumstances

VI(A).5. Conflicts as a Director

Service as a director poses three basic conflicts of interest.

*Duties conflict**Stock compensation**Access to sensitive
information*

When M&Cs providing investment services also serve as directors, they should **be isolated** from those making investment decisions by the use of **firewalls or similar restrictions**.



Standard VI: CONFLICTS OF INTEREST

Standards VI (A): Disclosure of conflicts

3**Recommended Procedures for Compliance**

- Should disclose special compensation arrangements with the employer that might conflict with client interests:
 - Bonuses based on short-term performance criteria.
 - Commissions, incentive fees, performance fees, and referral fees.
- M&C firms are encouraged to include information on compensation packages in firms' promotional literature.



Standard VI: CONFLICTS OF INTEREST

Standards VI (A): Disclosure of conflicts

4

Practice example



Practice Example 1: Disclosure of conflict to employer

Dwight Dawson, a CFA charter holder and portfolio manager at Ascott Investments, was recently appointed to the investments committee at Brightwood College. He will receive no compensation from Brightwood for serving on this committee. Another person at Ascott manages part of Brightwood's endowment. Dawson does not inform Ascott's compliance office of his involvement with Brightwood, because he does not believe doing so is necessary.

Brenda Hamilton, a CFA candidate, also works for Ascott as an investment analyst. Procedures established at Ascott prohibit personal trading in securities analyzed or recommended by Ascott. One of these securities is Horizon, a telecommunications firm. Hamilton buys 10 shares of Horizon for her infant son's trust account. She believes that reporting this purchase to Ascott's compliance officer is unnecessary because the amount of the transaction is small and is not for her own personal account. Did Dawson or Hamilton's actions violate CFA Institute Standards of Professional Conduct?

- A. Dawson: Yes, Hamilton: Yes.
- B. Dawson: No, Hamilton: No.
- C. Dawson: No, Hamilton: Yes.



Standard VI: CONFLICTS OF INTEREST

Standards VI (A): Disclosure of conflicts

4

Practice example



Practice Example 1: Disclosure of conflict to employer



Guidance VI(A).1: Disclosure of conflicts to employer

When reporting conflicts of interest to employers, M&Cs must **give their employers enough information** to assess the impact of the conflict.

1. Case of Dwight Dawson

In this case, Dawson was appointed to the investments committee at Brightwood College. But Dawson does not inform Ascott's compliance office of his involvement with Brightwood.

According to the standard, Dawson must:

- Give their employers enough information to assess the impact of the conflict.
- And could reasonably be expected to be involved with investment policy decisions at Brightwood that could affect Ascott because Ascott manages a portion of Brightwood's endowment.

→ Dawson violated Standard VI(A), Disclosure of Conflicts, by failing to inform Ascott of her involvement with Brightwood College.



Standard VI: CONFLICTS OF INTEREST

Standards VI (A): Disclosure of conflicts

4

Practice example

2. Case of Brenda Hamilton

In this case, Ascott prohibits personal trading in securities analyzed or recommended by Ascott. But Hamilton buys 10 shares of Horizon for her infant son's trust account.

According to the standard, Hamilton can get permission from the company and hope she can trade.

Hamilton violated Standard VI(A), because she doesn't ask for permission from her employer.

Answer: A



Standard VI: CONFLICTS OF INTEREST

Standards VI (B): Priority of transactions

Standard VI(B)

Investment transactions for clients and employers **must have priority over** investment transactions in which a member or candidate is the beneficial owner.

1

General guidance

01

This standard is designed to **prevent any conflict of interest** concerning personal transactions.

02

Client transactions **must take precedence** over transactions made on behalf of the member's or candidate's firm or personal transactions.



Standard VI: CONFLICTS OF INTEREST

Standards VI (B): Priority of transactions

2

Detailed guidance in several major circumstances

VI(B).1. Avoiding Potential Conflicts



VI(B).3. Standards for Non-public Information



VI(B).2. Personal Trading Secondary to Trading for Clients



VI(B).4. Impacts on All Account with Beneficial Ownership



VI(B).1. Avoiding Potential Conflicts

M&C is **free to invest personally** (including transactions that run counter to current recommendations) as long as:

- ✓ The clients is not disadvantaged by the trade.
- ✓ M&C do not benefit personally from trades undertaken for clients.
- ✓ M&C complies with applicable regulatory requirements.



Standard VI: CONFLICTS OF INTEREST

Standards VI (B): Priority of transactions

2

Detailed guidance in several major circumstances

VI(B).2. Personal Trading Secondary to Trading for Clients

- M&C having the same investment positions or being co-invested with clients does not always create a conflict.
- Personal investment positions or transactions of members or candidates or their firm **should never adversely affect client investments.**

VI(B).3. Standards for Nonpublic Information

- ✗ Conveying nonpublic information to any person whose relationship to the M&C **makes the M&C a beneficial owner** of the person's securities.
- ✗ Conveying this information to **any other person**, if the nonpublic information can be deemed **material**.



Standard VI: CONFLICTS OF INTEREST

Standards VI (B): Priority of transactions

2

Detailed guidance in several major circumstances

VI(B).4. Impact on All Accounts with Beneficial Ownership



M&Cs may undertake transactions in accounts for which they are a beneficial owner **only after their clients and employers** have had adequate opportunity to act on a recommendation.

Family accounts that are client accounts **should be treated like** any other firm account and should neither be given special treatment nor be disadvantaged because of the family relationship.

Priority of transaction regarding a recommendation

1st

Transaction for clients and employers

2nd

Personal transactions

Personal transactions: Transactions made for the member's or candidate's own account, for family accounts, and for accounts in which the member or candidate has a direct or indirect pecuniary interest.



Standard VI: CONFLICTS OF INTEREST

Standards VI (B): Priority of transactions

3**Recommended Procedures for Compliance**

The specific provisions of each firm's standards should adopt certain basic procedures to address the conflict areas created by personal investing.

These procedures include the following:

1. Limited participation in equity IPOs,
2. Restrictions on private placements,
3. Establish blackout/restricted periods,
4. Reporting requirements, including:
 - Disclosure of holdings in which the employee has a beneficial interest.
 - Providing duplicate confirmations of transactions.
 - Preclearance procedures,
5. Disclosure of policies to investors.



Standard VI: CONFLICTS OF INTEREST

Standards VI (B): Priority of transactions

4

Practice example



Practice Example 1: Clients' and personal accounts

An analyst routinely has the opportunity to offer his clients the opportunity to purchase "hot new issues". He tells his clients that he will distribute each issue equally among those interested, with himself included in the distribution. The clients do not object to this. With respect to Standard VI(B), Priority of Transactions, this:

- A. Cannot be a violation because the clients know of the practice and agree.
- B. May be a violation because it is impossible to distribute hot new issues equally.
- C. May be a violation despite the clients' approval.



Standard VI: CONFLICTS OF INTEREST

Standards VI (B): Priority of transactions

4

Practice example



Practice Example 1: Clients' and personal accounts



Guidance VI(B).4: Impacts on all account with beneficial ownership

Members or candidates may undertake transactions in accounts for which they are a beneficial owner only after their clients and employers have had adequate opportunity to act on a recommendation.

In this case, an analyst may be violated because he is not prioritizing the customer.

According to the standard, he can only act when his clients have had an adequate opportunity to act on a recommendation. Although the clients do not object to him, the analyst must put the clients first.

Answer: C



Standard VI: CONFLICTS OF INTEREST

Standards VI (C): Referral Fees

Standard VI(C)

M&Cs must disclose to their employer, clients, and prospective clients, as appropriate, any compensation, consideration, or benefit received from or paid to others for the recommendation of products or services.

1

General guidance

01

Must inform their employer, clients, and prospective clients of any benefit received for referrals of customers and clients.

02

Must disclose when they pay a fee or provide compensation to others who have referred prospective clients to the M&C.

03

Must advise the client or prospective client, before entry into any formal agreement for services, of any benefit given or received for the recommendation of any services provided by the M&C.

04

Must disclose the nature of the consideration or benefit



Standard VI: CONFLICTS OF INTEREST

Standards VI (C): Referral Fees

2**Recommended Procedures for Compliance**

- M&Cs should encourage their employers to develop procedures related to referral fees.
- The firm may completely restrict referral fees. If the firm does not adopt a strict prohibition of such fees, the procedures should indicate the appropriate steps for requesting approval.
- Employers should have investment professionals provide to the clients notification of approved referral fee programs; provide the employer regular (at least quarterly) updates on the amount and nature of compensation received.



Standard VI: CONFLICTS OF INTEREST

Standards VI (C): Referral Fees

3

Practice example



Practice Example 1: Disclosure of benefit received

Toni Florence, CFA, CAIA, leases office space to her best friend, Tom Rigs. Florence is an independent investment advisor specializing in high net worth clients and Rigs is a licensed real estate broker. In lieu of paying rent, Rigs refers his real estate clients to Florence, but only with the clients' permission. For clients referred by Rigs, Florence:

- A. Must disclose the terms of the lease arrangement.
- B. Need not disclose the referral fee if Rigs discloses the lease arrangement to the clients first.
- C. Need not disclose the terms of the lease arrangement because Rigs obtained the clients' permission for the referral.



Standard VI: CONFLICTS OF INTEREST

Standards VI (C): Referral Fees

3

Practice example



Practice Example 1: Disclosure of benefit received



Standard VI(C): Disclosure of benefit received

M&Cs must inform their employer, clients, and prospective clients of any benefit received for referrals of customers and clients.

In this case, Toni Florence leases office space to Tom Rigs in lieu of paying rent, Rigs refers his real estate clients to Florence, but only with the client's permission.

According to the standards, Florence must disclose the lease arrangement's terms for clients referred by Rigs.

Answer: A



Standard VII: RESPONSIBILITIES OF A CFA INSTITUTE MEMBER OR A CFA CANDIDATE

Standards VII (A): Conducts as participants in CFA Institute Program

Standard VII(A)

M&Cs must not engage in any conduct that **compromises the reputation or integrity** of the CFA Institute or the CFA designation or the integrity, validity, or security of CFA Institute programs.

1

General guidance

01

Prohibits any conduct that undermines the public's confidence that the CFA charter represents a level of achievement based on merit and ethical conduct.

02

Follow a high ethical criterion while they are participating in or involved with any CFAI program.



Standard VII: RESPONSIBILITIES OF A CFA INSTITUTE MEMBER OR A CFA CANDIDATE

Standards VII (A): Conducts as participants in CFA Institute Program

2

Detailed guidance in several major circumstances

VII(A).1. Confidential Program Information



VII(A).2. Additional CFA Program Restrictions



VI(A).3. Expressing an Opinion



VII(A).1. Confidential Program Information



Candidates sitting for an exam **cannot disclose all aspects** of the exam, including questions, broad topical areas, and formulas, tested or not tested.

VII(A).2. Additional CFA Program Restrictions



Violating any of the **testing policies**, such as the calculator policy, personal belongings policy, or the Candidate Pledge.



Standard VII: RESPONSIBILITIES OF A CFA INSTITUTE MEMBER OR A CFA CANDIDATE

Standards VII (A): Conducts as participants in CFA Institute Program

2

Detailed guidance in several major circumstances

VII(A).3. Expressing an Opinion



Expressing opinions regarding CFA Institute, the CFA Program, or other CFA Institute programs.



Disclosing content-specific information, including any actual exam question and the information as to subject matter covered or not covered in the exam.



Standard VII: RESPONSIBILITIES OF A CFA INSTITUTE MEMBER OR A CFA CANDIDATE

Standards VII (A): Conducts as participants in CFA Institute Program

3

Practice example



Practice Example 1: Expressing an Opinion

For the past 5 years, Karen Beckworth, CFA, has served as a proctor for the CFA exam. Beckworth tells her assistant, a Level III CFA candidate, that she normally receives the examinations on the Thursday before the exam. Given the low pass rate at Level III, Beckworth asks her assistant if he would like an advance copy of the next exam. Beckworth's assistant declines the offer. Beckworth's assistant has been very vocal about expressing his opinions about the low pass rate. The assistant claims, "there are too many charterholders and CFA Institute is deliberately failing candidates because the prestige of the CFA charter is becoming diluted." With regard to Standard VII(A) Conduct as Participants in CFA Institute Programs, which of the following statements concerning Beckworth's and her assistant's behavior is most accurate?

- A. Beckworth is in violation of Standard VII(A), but her assistant is not in violation.
- B. Both Beckworth and her assistant are in violation of Standard VII(A).
- C. Neither Beckworth nor her assistant is in violation of Standard VII(A).



Standard VII: RESPONSIBILITIES OF A CFA INSTITUTE MEMBER OR A CFA CANDIDATE

Standards VII (A): Conducts as participants in CFA Institute Program

3

Practice example



Practice Example 1: Expressing an Opinion



Guidance VI(A).3: Expressing an Opinion

M&Cs are free to express opinions regarding CFA Institute, the CFA Program, or other CFA Institute programs. But, M&Cs cannot disclose content-specific information, including any actual exam question and the information as to subject matter covered or not covered in the exam.

1. Case Brenda Karen Beckworth

Beckworth asks her assistant if he would like an advance copy of the next exam. Her act is seen as divulging content-specific information (an advance copy).

According to the standard, Candidates cannot disclose content-specific information, including any actual exam question.

⇒ Beckworth violated Standard.



Standard VII: RESPONSIBILITIES OF A CFA INSTITUTE MEMBER OR A CFA CANDIDATE

Standards VII (A): Conducts as participants in CFA Institute Program

3

Practice example

2. Case Beckworth assistant's

Beckworth's assistant has been very vocal about expressing his opinions about the low pass rate. Her act is expressing his opinion (low pass rates)

According to the standard, Candidates are free to express opinions regarding CFA Institute, the CFA Program.

⇒ Beckworth's assistant did not violate the Standard.

Answer: A



Standard VII: RESPONSIBILITIES OF A CFA INSTITUTE MEMBER OR A CFA CANDIDATE - Standards VII (B): Reference to CFA Institute, the CFA Designation, and the CFA Program

Standard VII(B)

M&Cs must **not misrepresent or exaggerate** the **meaning or implications** of membership in CFA Institute, holding the CFA designation, or candidacy in the CFA Program when referring to CFA Institute, CFA Institute membership, the CFA designation, or candidacy in the CFA Program.

1

General guidance

01

Must **not exaggerate** the **meaning or implications of membership** in CFA Institute, holding the CFA designation, or candidacy in the CFA Program.

02

However, statements that **overstate the competency** of an individual or imply that superior performance can be expected from someone with the CFA designation are not allowed under the standard.

03

May make claims about **the relative merits** of CFA Institute, the CFA Program, or the Code and Standards as long as those statements are implicitly or explicitly stated **as the opinion of the speaker**.



Standard VII: RESPONSIBILITIES OF A CFA INSTITUTE MEMBER OR A CFA CANDIDATE - Standards VII (B): Reference to CFA Institute, the CFA Designation, and the CFA Program

1

General guidance

04

Statements that **highlight or emphasize the commitment** of CFA Institute members, CFA charterholders, and CFA candidates to ethical and professional conduct or **mention the thoroughness and rigor** of the CFA Program are appropriate

05

Applies to **any form of communication**, including but not limited to communications made in electronic or written form, and oral statements made to the public, clients, or prospects.

2

Detailed guidance in several major circumstances

VII(B).1. CFA Institute Membership



VII(B).3. Referring to Candidacy in the CFA Program



VII(B).2. Using the CFA Designation



VII(B).4. Proper and Improper References to the CFA Designation





Standard VII: RESPONSIBILITIES OF A CFA INSTITUTE MEMBER OR A CFA CANDIDATE - Standards VII (B): Reference to CFA Institute, the CFA Designation, and the CFA Program

2

Detailed guidance in several major circumstances

VII(B).1. CFA Institute Membership

***“CFA Institute member”:** refers to “regular” and “affiliate” members of CFA Institute who have met the membership requirements as defined in the CFA Institute Bylaws.*

Once accepted as a CFA Institute member, the member must satisfy the following requirements to maintain his or her status:

- ✓ **Remit annually** to CFA Institute a completed **Professional Conduct Statement**, which renews the commitment to abide by the requirements of the Code and Standards and the CFA Institute Professional Conduct Program.
- ✓ **Pay applicable** CFA Institute membership dues on an annual basis.

If a CFA Institute member fails to meet any of these requirements, the individual is no longer considered an active member. Until membership is reactivated, individuals:

- ✗ **Present** themselves to others as active members.
- ✓ **Stating** that was **CFA Institute members in the past** or refer to the years when their membership was active.



Standard VII: RESPONSIBILITIES OF A CFA INSTITUTE MEMBER OR A CFA CANDIDATE - Standards VII (B): Reference to CFA Institute, the CFA Designation, and the CFA Program

2

Detailed guidance in several major circumstances

VII(B).2. Using the CFA Designation

“CFA charterholders” are those individuals who have earned the right to use the CFA designation granted by CFA Institute. These people have satisfied certain requirements, including completion of the CFA Program and required years of acceptable work experience.



Satisfy membership requirements to maintain their rights to use the designation.



Misrepresent or exaggerate the meaning or implications of the designation.

- If a CFA charterholder fails to meet any of the membership requirements, he or she forfeits the right to use the CFA designation. They may state, however, that they were charterholders in the past.
- Pseudonyms or online profile names created to hide a member's identity should not be tagged with the CFA designation.



Standard VII: RESPONSIBILITIES OF A CFA INSTITUTE MEMBER OR A CFA CANDIDATE - Standards VII (B): Reference to CFA Institute, the CFA Designation, and the CFA Program

2

Detailed guidance in several major circumstances

VII(B).3. Referring to Candidacy in the CFA Program

Candidates in the CFA Program: may refer to their participation in the CFA Program. A person is a candidate in the CFA Program if:

- The person's application for registration in the CFA Program has been accepted by CFA Institute
- The registered person has sat for a specified examination but exam results have not yet been received.

If an individual is registered for the CFA Program but declines to sit for an exam, then that individual is no longer considered an active candidate. Once the person is enrolled to sit for a future examination, his or her CFA candidacy resumes.

- ✓ Stating that he or she is a candidate and **must not** imply achievement of any **partial achievement**
- ✗ State or imply that they have a **partial designation** as a result of passing one or more levels, or cite an **expected completion date** of any level of the CFA Program.

If a candidate passes each level of the exam in consecutive years, stating that fact is not a violation, but candidates cannot say that it gives him or her a superior ability.



Standard VII: RESPONSIBILITIES OF A CFA INSTITUTE MEMBER OR A CFA CANDIDATE - Standards VII (B): Reference to CFA Institute, the CFA Designation, and the CFA Program

2

Detailed guidance in several major circumstances

VII(B).4. Proper and Improper References to the CFA Designation

✓ Proper reference	✗ Improper reference
"Completion of the CFA Program has enhanced "CFA charterholders achieve better my portfolio management skills."	CFA charterholders achieve better performance results
"John Smith passed all three CFA Program examinations in three consecutive years."	"John Smith is among the elite, having passed all three CFA examinations in three consecutive attempts."
"The CFA designation is globally recognized and attests to a charterholder's success in a rigorous and comprehensive study program in the field of investment management and research analysis."	"As a CFA charterholder, I am the most qualified to manage client investments."
"I passed Level I of the CFA Program."	"CFA, Level II"



Standard VII: RESPONSIBILITIES OF A CFA INSTITUTE MEMBER OR A CFA CANDIDATE - Standards VII (B): Reference to CFA Institute, the CFA Designation, and the CFA Program

2

Detailed guidance in several major circumstances

VII(B).4. Proper and Improper References to the CFA Designation

✓ Proper reference	✗ Improper reference
"The credibility that the CFA designation affords and the skills the CFA Program cultivates are key assets for my future career development."	"As a CFA charterholder, Jane White provides the best value in trade execution."
"I enrolled in the CFA Program to obtain the highest set of credentials in the global investment management industry."	"Enrolling as a candidate in the CFA Program ensures one of becoming better at valuing debt securities."
"I am a 2010 Level III candidate in the CFA Program."	"CFA, Expected 2011" "Level III CFA Candidate"
"I passed all three levels of the CFA Program and will be eligible for the CFA charter upon completion of the required work experience."	"CFA, Expected 2011" "John Smith, Charter Pending"



Standard VII: RESPONSIBILITIES OF A CFA INSTITUTE MEMBER OR A CFA CANDIDATE - Standards VII (B): Reference to CFA Institute, the CFA Designation, and the CFA Program

3

Practice example



Practice Example 1: Using the CFA Designation

Julie Stades retired several years ago and relinquished her membership in CFA Institute. She had the CFA designation up until then. She has decided to go back to work and puts the following statement on her resume: "I earned the CFA designation 10 years ago." Is this a violation of Standard VII(B)?

- A. Yes, she must state that she no longer holds the CFA designation.
- B. No, as long as she does not indicate she currently has the designation.
- C. Yes, because she is no longer an active member.



Standard VII: RESPONSIBILITIES OF A CFA INSTITUTE MEMBER OR A CFA CANDIDATE - Standards VII (B): Reference to CFA Institute, the CFA Designation, and the CFA Program

3

Practice example



Practice Example 1: Using the CFA Designation



Guidance VII(B).2: Using the CFA Designation

Until membership is reactivated, members must not present themselves to others as CFA charter holders.

In this case, Julie Stades only puts the following statement on her resume: "I earned the CFA designation 10 years ago". Accordingly, Julie Stades is state that she earned the designation in the past and she does not infer that she currently has the designation.

According to the standards, members must not present themselves to others as CFA charterholders but can refer to earning the designation in the past.

Answer: B